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RESEARCH

Strategic leadership and organizational design: a review and research agenda

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Abstract
Strategic leaders shape organizations. Besides decisions on strategic direction, growth ambitions, or cost structure, their choice of organizational design lays the foundation for company performance. Although organizational design has been widely studied, work linking strategic leadership to organizational design remains dispersed across multiple perspectives, limiting cumulative understanding of this relationship. In this systematic literature review, we synthesize existing research on how strategic leaders and their specific characteristics impact organizational design, how organizational design influences strategic leaders and their behavior, and how firm- and environmental-level characteristics condition these relationships. We identify the key mechanisms underlying the observed relationships, clarify how different theoretical perspectives explain them, and highlight where existing research provides only limited accounts. Building on this synthesis, we develop an integrative framework that clarifies the current state of research including directionality and mechanisms across theoretical perspectives. Lastly, we propose an extensive and forward-looking research agenda offering conceptual scaffolding and novel research ideas for advancing scholarly work in this field.

Keywords Strategic leadership · Organizational design · Strategic leader characteristics · Organization structure

Introduction

It is a central responsibility of an organization's strategic leaders to shape their organization in a way that enables it to achieve its objectives. Beyond providing strategic direction, allocating resources, or defining growth ambitions, strategic leaders fundamentally influence, for instance, how work is divided, authority is allocated, and coordination is achieved (Burton and Obel 1984; Miles et al. 1978). They do so by selecting an organizational design, which refers to the formally instituted arrangements that determine the degree of formalization, centralization, and structural complexity through which tasks are divided, authority is distributed, and activities are coordinated within an organization (Pugh et al. 1968; Robbins 1990), and which constitutes a central mechanism through which strategic intent is implemented and sustained. As there is no universally optimal design blueprint (Nelson 1991), such design decisions require substantial judgment by strategic leaders, i.e., those who bear overall responsibility for the organization, including individuals such as the CEO, other members of the top management team (TMT), or the board of directors (Finkelstein et al. 2009; Harris and Raviv 2002; Nadler et al. 1997).

However, despite the recognized importance of organizational design and the significant discretion afforded to strategic leaders, the academic literature provides only a partial and conceptually dispersed understanding of this relationship. While organizational design research has developed sophisticated theories of structure, coordination, and control, studies that examine strategic leaders' characteristics in relation to organizational design often engage with these design constructs in a limited and inconsistent manner. In many cases, organizational design appears as a narrowly operationalized outcome variable, frequently relying on crude proxy measures, or an implicit mechanism linking strategic leaders to broader organizational outcomes,

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without conceptual distinction. As a result, prior work offers limited clarity regarding which dimensions of organizational design are influenced by strategic leaders, through which mechanisms, and how these relationships relate to established design principles.

More broadly, research on the relationship between strategic leadership and organizational design spans multiple theoretical traditions, including upper echelons theory (UET), contingency theory, and agency theory. While such theoretical plurality is a productive feature of social science, the lack of synthesis across these perspectives has resulted in parallel and weakly integrated conceptualizations of the leadership–organizational design relationship, making it difficult to systematically assess how these perspectives collectively advance our understanding.

Recent work has taken important steps toward synthesizing the organizational design literature more broadly (Joseph and Sengul 2025). This work primarily organizes the field around core design approaches, key dimensions of organizational design, and emerging research streams and thereby offers a valuable map of the literature and clarifies open questions at the field level. Yet, its focus lies on organizational design as an object of inquiry, rather than on strategic leaders as a distinct factor related to design choices. Consequently, existing review work does not fully provide a focused synthesis of how strategic leaders influence organizational design, how organizational design shapes strategic leaders, or how both are jointly conditioned by context.

Against this backdrop, we conduct a systematic review spanning multiple disciplines and theories, and organize the literature around strategic leaders and their characteristics, rather than around design approaches or key dimensions of organizational design alone. In doing so, we find that despite decades of progress in both UET and organizational design research, systematic theorizing about their intersection remains rather limited in scope and volume. We take this relative scarcity and uneven coverage as an opportunity to build a strategic leader-centered organizing framework on which future research can build. This framework synthesizes three interrelated streams of research: how strategic leaders shape organizational design, how organizational design affects strategic leaders and their behavior, and how internal firm and external environmental characteristics condition these relationships.

Building on this framework and contemporary scholarly conversations, we propose a structured and detailed agenda for future research. This agenda identifies promising theoretical perspectives, suggests novel empirical approaches, and outlines key dimensions along which future studies can advance our understanding. In particular, it calls for broadening the range of strategic leaders and characteristics under study beyond the CEO and conventional demographic proxies, for examining novel and technology-enabled organizational forms, and for greater attention to the processes and mechanisms through which strategic leaders shape organizational design. It further explores opportunities to better understand the timing and triggers of changes to organizational design, the promise of longitudinal studies, and incorporating new measures of organizational design. Rather than being a loose collection of open questions, this agenda offers a coherent, framework-grounded basis for cumulative progress in the field.

Our review makes several contributions to research and practice. For scholars, the review sheds light on the relationship between organizational design and strategic leadership and highlights promising areas for future research. It informs upper echelons theory by treating organizational design as a distinct and consequential domain of strategic leaders' influence, rather than as an implicit channel or as a secondary consideration subordinate to broader organizational phenomena. It also highlights an aspect relevant to contingency theory by identifying strategic leaders and their characteristics as a mechanism through which environmental conditions translate into organizational design choices, helping to explain heterogeneity in organizational design responses under similar contingencies. Beyond theory-specific contributions, it also enables cross-theoretical dialogue by making explicit assumptions about discretion, directionality of influence, and mechanisms, supporting more cumulative theory development.

For practitioners, the review offers a structured way to anticipate how strategic leaders' characteristics may influence organizational design outcomes and how existing structures and contexts, in turn, shape leaders' behavior. By integrating these insights, the review provides a foundation for more informed organizational design decisions.

Method

To develop a thorough understanding of the extant literature on strategic leadership and organizational design, we conducted a systematic literature review as outlined by Tranfield et al. (2003). We started with a list of the peer-reviewed journals included in the Financial Times FT50 list, a practice used in several other recent reviews in the field of strategic leadership (e.g., Kurzhals et al. 2020; Schaedler et al. 2022). Consistent with these reviews, we restricted our sample to peer-reviewed academic journals only and therefore excluded two practitioner-oriented journals that rely only on editorial review rather than double-blind peer review (i.e., *Harvard Business Review* and *Sloan Management Review*), despite their inclusion in the FT50. Further, we added four journals not part of the FT50 (*Journal of*

Table 1 List of journals included in literature search

Academy of Management Journal[a]	Journal of Marketing Research[a]
Academy of Management Review[a]	Journal of Operations Management[a]
Accounting, Organizations and Society[a]	Journal of Political Economy[a]
Administrative Science Quarterly[a]	Journal of the Academy of Marketing Science[a]
American Economic Review[a]	Management Science[a]
Contemporary Accounting Research[a]	Manufacturing and Service Operations Management[a]
Econometrica[a]	Marketing Science[a]
Entrepreneurship Theory and Practice[a]	MIS Quarterly[a]
Human Relations[a]	Operations Research[a]
Human Resource Management[a]	Organization Science[a]
Information Systems Research[a]	Organization Studies[a]
Journal of Accounting and Economics[a]	Organizational Behavior and Human Decision Processes[a]
Journal of Accounting Research[a]	Production and Operations Management[a]
Journal of Applied Psychology[a]	Quarterly Journal of Economics[a]
Journal of Business Ethics[a]	Research Policy[a]
Journal of Business Venturing[a]	Review of Accounting Studies[a]
Journal of Consumer Psychology[a]	Review of Economic Studies[a]
Journal of Consumer Research[a]	Review of Finance[a]
Journal of Finance[a]	Review of Financial Studies[a]
Journal of Financial and Quantitative Analysis[a]	Strategic Entrepreneurship Journal[a]
Journal of Financial Economics[a]	Strategic Management Journal[a]
Journal of International Business Studies[a]	The Accounting Review[a]
Journal of Management[a]	Strategic Organization[b]
Journal of Management Information Systems[a]	Journal of Organization Design[b]
Journal of Management Studies[a]	Organization Theory[b]
Journal of Marketing[a]	Organization[b]

[a] Journals from FT50 ranking

[b] Additional journals added due to high relevance

Table 2 Keywords used in the search process

Organizational design/structure keywords	
organi?ation* structure*	organi?ation* framework*
company structure*	organi?ation* layout*
business structure*	*division* organi?ation*
enterprise structure*	matrix organi?ation*
management structure*	functionalorgani?ation*
corporate structure*	agile organ?ation*
matrix structure*	self-organi?ation*
division structure*	reporting line*
function* structure*	span of control*
flat structure*	organi?ation* hierarch*
circular structure*	*centrali*
network structure*	structural form*
hierarchical structure*	delegat*
process-based structure*	M-form*
horizontal structure*	holacrac*
line structure*	team-based
organi?ation* design*	flatarch*
Strategic leader keywords	
board	director*
business head*	executive*
business leader*	officer*
business unit head*	strategic leader*
business unit leader*	strategic leadership
CDO*	VP
CEO*	SVP*
CFO*	TMT
CIO*	top management
CMO*	top manager*
COO*	upper echelon*
CSO*	vice president*
CTO*	

* is used as a truncation wildcard to retrieve all words sharing the same root

Organization Design, *Organization*, *Organization Theory*, and *Strategic Organization*) due to their specific relevance to organizational design. Table 1 provides an overview of the 52 journals used in our review.

To identify relevant articles, we compiled a list of keywords related to the domains of strategic leadership and organizational design. The keywords for strategic leadership were selected from previous literature reviews in the domain (Kurzhals et al. 2020; Schaedler et al. 2022). The organizational design keywords such as "hierarchy", "centralization", and "organizational design" were manually identified by assessing several textbooks and articles concerned with organizational design and complemented with keywords from our prior understanding of the topic. Additionally, we added synonyms of the identified keywords where applicable. All keywords were reviewed by three doctoral students in management, who suggested additions or modifications in case they identified missing or unsuitable terms, resulting in the final keywords list provided in Table 2. We focused the search on literature published between 1984—the year Hambrick and Mason published their seminal paper laying the foundation for UET (Hambrick and Mason 1984) and highlighting the importance of strategic leadership for organizational outcomes—and June 2026 using the Web of Science database.

For our selection of articles, we followed the four-phase procedure outlined in the PRISMA framework (Page et al. 2021), as illustrated in Fig. 1. The initial search in the Web of Science database with the above-described setup yielded 948 unique articles. An additional six articles, published in

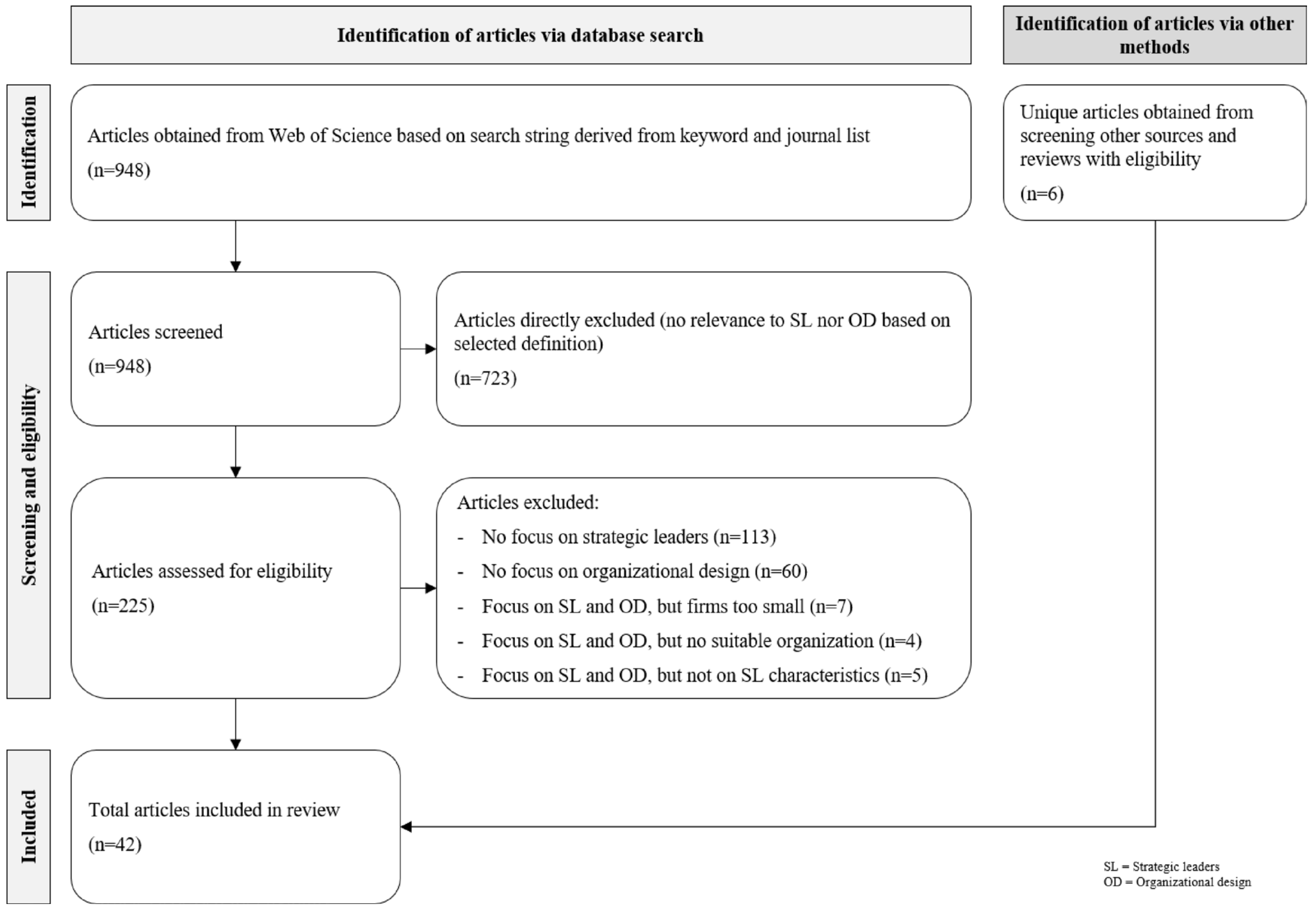

Fig. 1 PRISMA flow diagram of article selection

peer-reviewed journals, were identified through backward and forward citation tracking and directly included in the review based on their clear relevance to the topic.

Focusing on the 948 database-derived articles, we excluded 723 during the first phase of abstract screening for lacking relevance to either strategic leadership or organizational design. The remaining 225 articles were subjected to full-text review. For this full-text review, we applied a set of inclusion criteria to ensure relevance to the role of strategic leaders in organizational design. First, studies had to focus on strategic leaders, specifically CEOs, TMTs, or boards of directors, rather than middle management or lower organizational levels. Second, studies had to examine characteristics of strategic leaders, such as demographic attributes or psychological and personality traits. Third, we required that studies explicitly assess some effect on or of organizational design in line with our definition, including structural elements such as centralization, the allocation of decision-making authority, or the coordination of activities. Finally, we restricted the sample to research conducted on large, established firms, excluding studies on very small companies, universities, or other non-corporate entities to maintain comparability and external validity in a corporate context. As a result, we excluded 113 articles for addressing organizational design without reference to strategic leaders, and 60 for discussing strategic leadership without a connection to organizational design. We excluded 16 articles for not meeting the review's conceptual focus: seven studied small firms, four addressed non-corporate entities (e.g., universities or sports clubs), and five did not relate to general characteristics of strategic leaders. Following this process, we retained 36 articles, which, together with the six articles identified earlier, resulted in a final sample of 42 articles.

Analyzing the retained 42 articles, we find that most research is relatively recent, with 62% of articles having been published between 2010 and June 2026, as displayed in Fig. 2. The articles were published across 20 different academic journals, with the *Academy of Management Journal* accounting for most ($n=6$), followed by the *Strategic Management Journal* ($n=5$), *Organization Science* ($n=5$), and the *Journal of Business Ethics* ($n=4$).

We further analyzed the research design, geographic scope, and focal strategic leader studied, as displayed in Table 3. In terms of research design, 64% of articles used a quantitative approach ($n=27$), 24% were purely conceptual ($n=10$), 7% conducted qualitative research ($n=3$), and the

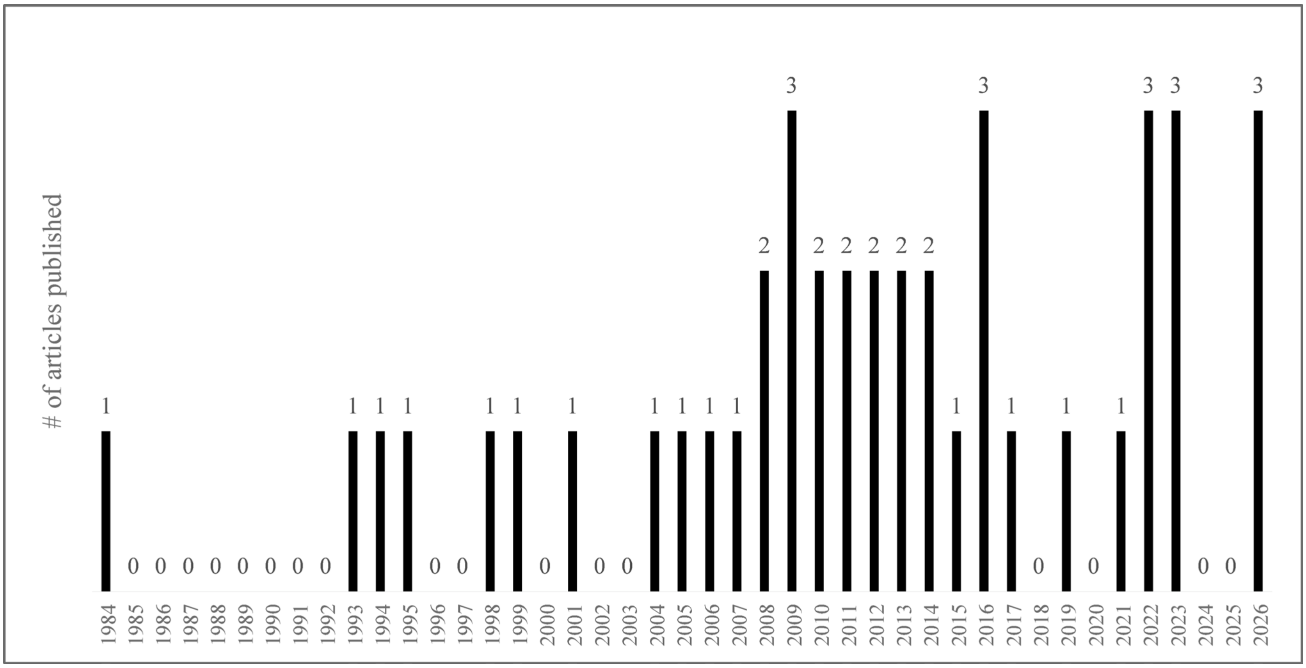

Fig. 2 Articles included in the review by year of publication

Table 3 Description of literature sample

Characteristics	No. of articles	Percentage of sample (rounded)
Research design	**42**	***100%***
Quantitative	27	*64%*
Qualitative	3	*7%*
Mixed (quant. & qual.)	2	*5%*
Conceptual	10	*24%*
Geographic scope	**42**	***100%***
United States	18	*43%*
Multicountry	6	*14%*
Other single country	8	*19%*
N/A	10	*24%*
Focal strategic leader	**42**	***100%***
CEO	16	*38%*
TMT	15	*36%*
Board of directors	0	*0%*
Other	11	*26%*

remaining articles used mixed-methods approaches ($n=2$). Most research, with 43% of our sample, used the U.S. as the empirical context ($n=18$). 19% of studies relied on single-country samples from across the globe ($n=8$), and 14% reported multi-country analyses ($n=6$). The single-country samples included, for example, Canada, Austria, Greece, Germany, and the Netherlands. The remaining ten conceptual articles naturally did not report any empirical geographic focus, yet two articles drew qualitative insights from the U.S.

With regard to the type of strategic leader analyzed, 38% studied the CEO alone ($n=16$), 36% TMT members ($n=15$), which may include the CEO, and no study in our data set examined solely the board of directors as the focal strategic leaders. 26% studied other types of strategic leaders ($n=11$), which we classified as such if the article focused on individual C-level positions such as the Chief Information Officer (CIO), senior executives, or more than one type of strategic leader at the same time. Table 3 displays the distribution of the selected articles' research designs, geographical scope, and type of strategic leaders studied.

We coded all articles along two main types of categories, namely methodological and conceptual. Methodological categories included research design, independent variables, moderators, and dependent variables used. Conceptual categories focused on each study's theoretical anchoring, geographic scope, focal strategic leader, thematic category (i.e., the category within our review structure in Sect. 3.1), and central findings relevant to our review. As many studies drew on more than one theoretical perspective, we identified the primary theoretical anchoring based on the central explanatory logic of the study and listed additional theoretical influences if they were substantive. This approach allowed us to capture cross-theoretical integration without forcing artificial single-theory classifications.

All articles were coded independently by two scholars following a shared coding protocol. After the initial coding, the coders compared their classifications and interpretations and discussed any discrepancies in detail. Given the interpretive nature of several conceptual categories, we relied on consensus coding rather than recording formal interrater reliability statistics. Disagreements were resolved through joint review and discussion of the respective articles, which also served to calibrate interpretations and ensure consistent application of the coding scheme across studies. This structured approach allowed us to develop a deep understanding of the reviewed articles and summarize each article in a structured way as presented in detail in Table 4.

Drawing on this analysis, we developed a preliminary framework to guide our in-depth review. This framework identifies the characteristics of strategic leaders as the focal determinant of organizational design. In addition to strategic leaders' characteristics, we added two additional categories—firm and environmental characteristics—due to their theorized and empirically observed influence on strategic leaders' choice of organizational design, as well as their conditioning effects. The initial version of this framework is displayed in Fig. 3.

With regard to the characteristics of strategic leaders, we developed three overarching categories in Sect. (3.1) First, *experience and demographics* includes factors such as educational experience or tenure, among others. Second, *trust and moral characteristics* refers to values related to trust, ethical behavior, and associated leadership concepts. We grouped these because they are often interdependent, share similar value-laden traits, and often co-occur (Hendriks et al. 2020; Toledano and Crispen 2015). Third, *power and control orientation* captures traits such as assertiveness and a preference for power and control concentration. In addition, we articulate the influence of organizational design on strategic leaders in Sect. (3.2) Section 3.3 and 3.4 detail how firm- and environmental-level characteristics may condition or precede strategic leaders' influence on organizational design. Finally, Sect. 4 synthesizes these findings into a research agenda offering novel directions grounded in the reviewed literature and recent trends.

Strategic leadership and organizational design

Influence of strategic leader characteristics on organizational design choices

Strategic leaders' experience and demographics

Strategic leaders' prior experiences and demographic characteristics have been linked to a variety of organizational design choices. This relationship is often studied through the lens of UET, which posits that organizations are a reflection of their top executives, with their characteristics shaping both key organizational decisions and organizational outcomes (Hambrick and Mason 1984).

One key characteristic is educational background. Hambrick and Mason (1984) postulate that strategic leaders with more formal business education tend to create organizations with more complex structures and coordination mechanisms. These leaders develop different cognitive bases and perceptions, shaped by exposure to analytical tools, formal coordination models, and structured approaches to managing interdependence. Such concepts encountered during their education may broaden the range of structural solutions they perceive as appropriate and manageable. This may then result in a greater degree of administrative complexity when compared to organizations led by strategic leaders with less formal education. Empirical work by Papadakis et al. (1998) on Greek strategic leaders uses university degrees as a proxy for formal education and examines its impact on decision-making processes. As theory leads us to expect, the study finds that higher levels of education among strategic leaders, particularly within the TMT, are associated with more comprehensive and formalized decision-making structures, reflected in an increased reliance on predefined procedures and formal rules during decision-making processes.

Hambrick and Mason (1984) further emphasize strategic leaders' functional background as another important dimension. They propose that, similar to formal business education, strategic leaders with professional experience in peripheral functions such as law or finance tend to implement organizations characterized by greater administrative complexity, more elaborate planning systems, and a higher degree of procedural formalization. Professional experience in these functions shapes strategic leaders' cognitive bases and attention patterns, as legal and financial roles generally emphasize formal rules, compliance, and accountability. Reliance on abstract representations such as reports and budgets, together with work conducted through formal authority channels, reinforces the subjective view that uncertainty and interdependence are best managed through structured coordination systems and administrative controls. In their empirical work, Beckman and Burton (2008) examine early imprinting across the organizational life cycle and find evidence that the functional background of strategic leaders, particularly founding leaders, plays a significant role in shaping the organization's design. Their findings suggest that early strategic leaders' backgrounds leave an imprint that influences TMT composition and functional structure even later in the organization's life cycle, as prior functional experiences shape how strategic leaders interpret organizational challenges and the coordination logics they perceive as appropriate.

Researchers have further empirically investigated the relationship between functional background and TMT

Table 4 Detailed description and summary of literature sample

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Albert and Eklund (2026)	Margin or Mission? Understanding the relationship between multilevel functional subgroups and pricing	*Organization Science*	Quantitative	Executive sub groups	N/A	Insured price to Medicare ratio	Behavioral theory of the firm Attention-based view	USA	Other	Reciprocal influence	Top managers do not influence organizations in a uniform way, their influence depends on their functional affiliation and where they are positioned in the organizational hierarchy Hierarchical position shapes what they pay attention to and therefore the strategic decisions they promote
Beckman and Burton (2008)	Founding the future: Path dependence in the evolution of top management teams from founding to IPO	*Organization Science*	Quantitative	Founding team functional experience Founding functional structure	N/A	Subsequent TMT functional experience Subsequent functional structure Time to first VC funding and IPO	Upper echelons theory Path dependence	USA	TMT	Experience and demographics Reciprocal influence Firm characteristics	Founding teams' functional experience and initial functional structure have lasting path-dependent effects on the composition of later TMTs and organizational functional structures Founding experience predicts subsequent TMT experience (homophily), and founding structure predicts subsequent functional positions (structural imprinting). Firms with broad founding experience and early functional structures reach key milestones (VC funding, IPO) faster
Bloom, Sadun & Van Reenen (2012)	The organization of firms across countries	*Quarterly Journal of Economics*	Quantitative	Trust (regional or country-level)	N/A	Decentralization score (plant manager autonomy)	Garicano (2000) and Garicano & Rossi-Hansberg (2007) hierarchy model	Multicountry	CEO	Environmental characteristics	CEOs in high-trust regions are more likely to delegate decision-making authority to local plant managers and are generally more inclusive and trusting Environment (high trust vs. low trust) impacts organizational design with firms in high-trust regions tending to have more decentralized decision-making

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Boone and Hendriks (2009)	Top Management Team diversity and firm performance: moderators of functional-background and locus-of-control diversity	*Management Science*	Quantitative	TMT functional background diversity TMT locus of control personality diversity	Centralization (CEO vs. TMT) TMT collaboration Information exchange quality	Firm performance (ROS, ROA)	Upper echelons theory	Netherlands & Belgium	TMT	Reciprocal influence	(De-)centralization acts as a moderator for TMT characteristics and firm performance Decentralized decision-making strengthens the positive effect of functional background diversity on firm performance by enabling teams to leverage diverse expertise. In contrast, when personality diversity is high (e.g., differences in locus of control), decentralization exacerbates interpersonal conflict and harms performance. Centralization in this context acts as a buffer, mitigating the negative effects of personality diversity
Brandl and Pohler (2010)	The Human Resource department's role and conditions that affect its development: explanations from Austrian CEOs	*Human Resource Management*	Qualitative	CEOs' scope for action CEOs' willingness to delegate Perceived aptitude of HR department	N/A	Role of the HR department (level of strategic involvement)	N/A	Austria	CEO	Experience and demographics	The willingness of CEOs to delegate strategic responsibilities to the HR department, developing it to become a strategic HR role depends on the CEOs' scope for action, willingness to delegate, and perceived aptitude of the HR department

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Carlin and Gervais (2009)	Work ethic, employment contracts, and firm value	*Journal of Finance*	Conceptual	Agent ethics (virtue vs. egoism) Agent skill level Synergy level Labor market competition	N/A	Optimal contract type (flat vs. incentive) Firm investment risk Organizational structure (horizontal vs. hierarchical)	Agency theory	N/A	Other	Trust and moral characteristics	Introducing virtue (work ethic) into agency theory shows that firms hiring strategic leaders from more ethical labor pools adopt flatter employment contracts, more conservative investment policies, and more bureaucratic, horizontal organizational structures When firms rely on incentive contracts to motivate egoistic strategic leaders, they adopt performance-based compensation, riskier growth strategies, and more hierarchical organizational structures

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Carton et al. (2023)	Painting a clear picture while seeing the big picture: When and why leaders overcome the trade-off between concreteness and scale	*Academy of Management Journal*	Quantitative	CEO concreteness	Hierarchy strength	Large-scale organizational change	Construal level theory Attention-based view	USA	CEO	Reciprocal influence	Hierarchy acts as a moderator enabling strategic leaders to initiate change. In organizations with a strong hierarchical structure, CEOs who are concrete thinkers, focused on specific, detailed, and image-based information, can nonetheless adopt a broader strategic perspective and effectively initiate large-scale organizational change. This is because hierarchy provides clear role expectations and structured information flows, which help concrete thinkers shift their attention from narrow operational details to organization-wide goals In contrast, under low hierarchy, the same CEOs tend to remain focused on localized or short-term tasks, limiting their capacity for transformative action For abstract-oriented CEOs, however, hierarchical strength has no significant effect, as they already tend to think broadly and strategically regardless of the organizational structure

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Cheng and Love (2022)	Designing Chief Innovation Officer positions: a strategic contingency framework	*Journal of Organization Design*	Conceptual	Firms' strategic orientation Structural composition	N/A	Configuration and effectiveness of the CIO role	Contingency theory	USA (for qualitative insights)	Other	Firm characteristics	Organizational design determines the success of Chief Innovation Officers (CIO). Different types of organizations (hierarchical, efficiency-focused vs. decentralized, innovation-driven) require the CIO to adapt their role, authority, and integration mechanisms accordingly In hierarchical, efficiency-focused firms, CIOs need formal authority, direct reporting to the CEO, and control over dedicated innovation budgets to drive process improvements In contrast, decentralized, innovation-driven firms require CIOs to operate through informal influence, build cross-unit coalitions, and coordinate long-term innovation agendas without relying on formal power The CIO's effectiveness depends on how well the role is structurally aligned with the firm's strategic orientation and internal systems

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Cortes-Mejia et al. (2022)	Sharing strategic decisions: CEO humility, TMT decentralization, and ethical culture	*Journal of Business Ethics*	Quantitative	CEO humility	TMT decentralization	Ethical culture	Upper echelons theory Social learning theory	Colombia	CEO	Trust and moral characteristics	CEO humility, characterized by appreciating others' strengths, openness to feedback, and acknowledgment of personal limitations, positively influences the decentralization of strategic decision-making within the TMT. This decentralized decision-making process, in turn, fosters a stronger organizational ethical culture. The effect of CEO humility on decentralization is strengthened when the TMT demonstrates high behavioral integration
Daboub et al. (1995)	Top Management Team characteristics and corporate illegal activity	*Academy of Management Review*	Conceptual	Environmental factors (industry culture, scarcity) Firm factors (structure, history, size, etc.)	TMT characteristics	Corporate illegal activity	Upper echelons theory	N/A	TMT	Experience and demographics	Among other findings, longer tenured and older CEOs or TMT members are more likely to adhere to established routines and internal norms in organizational contexts
Du and Tsolmon (2026)	Post-M&A Retention of Top Managers: The Role of Structural Knowledge	*Organization Science*	Quantitative	Structural similarity TMT structural knowledge alignment	Geographic distance Integration approach	Target TMT retention	Organizational modularity theory	Multicountry	TMT	Reciprocal influence	Target-firm TMT members are more likely to be retained when the target firm's organizational structure is similar to the acquiring firm's organizational structure as their structural knowledge can be more effectively transferred and leveraged to facilitate post-acquisition integration

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Eisenhardt et al. (2010)	Microfoundations of performance: Balancing efficiency and flexibility in dynamic environments	*Organization Science*	Conceptual	Structural approaches Environmental dimensions Cognitive capabilities	N/A	Organizational performance	N/A	N/A	TMT	Environmental characteristics	Strategic leaders play a central role in balancing efficiency, and flexibility in dynamic environments. Effective strategic leaders rely on cognitive sophistication, such as abstraction, cognitive variety and strategic interruptions, to adapt in real time. These micro-level mechanisms help organizations remain both reliable and responsive

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Graham et al. (2015)	Capital allocation and delegation of decision-making authority within firms	*Journal of Financial Economics*	Quantitative	CEO tenure CEO background & MBA education Compensation Organizational complexity (size, segments) Acquisition activity	N/A	Delegation of decision-making authority	Agency theory	Multicountry	CEO	Experience and demographics Firm characteristics	CEOs with longer job tenure or a background in finance are less likely to delegate decision-making. They prefer to retain control over decisions, especially in areas where they have expertise, leading to more centralized decision-making in those domains As firms grow in size or become more complex (e.g., multi-divisional), CEOs are more likely to delegate authority due to information overload or the impracticality of managing all aspects directly CEOs with a higher share of incentive-based compensation (e.g., stock, bonuses) tend to retain more control, especially over decisions with significant performance implications The degree of delegation is shaped by the nature of the decision. CEOs are more likely to delegate internal decisions (e.g., capital allocation, investment) that require detailed, bottom-up information. In contrast, they retain control over external-facing or strategic decisions (e.g., M&A, facing growth opportunities), where their informational advantage is highest. Delegation thus varies systematically with the information structure and perceived strategic importance of the decision

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Hambrick and Cannella (2004)	CEOs who have COOs: Contingency analysis of an unexplored structural form	*Strategic Management Journal*	Quantitative	Industry-related (growth, instability, R&D intensity) Organization-related (sales, diversification, acquisition activity) CEO-related (CEO is chair, finance or law background, CEO never COO, outsider CEO)	N/A	Presence or absence of COO	Upper echelons theory Contingency theory	USA	CEO	Experience and demographics	COO presence is primarily driven by CEO characteristics (lack of operational experience, outsider status, finance/legal background) CEOs with finance or legal backgrounds, or those newly appointed are more likely to appoint a COO to compensate for lack of operational experience or firm specific knowledge respectively Firm size and CEO duality also increase COO presence, whereas industry and organizational task demands have little effect In general, COO presence is associated with lower firm performance
Josefy et al. (2026)	Leave It to Me: Overconfident CEOs' Lower Propensity to Delegate Acquisition Responsibility	*Journal of Management Studies*	Quantitative	CEO overconfidence	Task characteristics Firm complexity	Delegation of acquisition decisions	Information processing theory	USA	CEO	Power and control orientation	Overconfident CEOs exhibit more centralized decision-making by delegating acquisition responsibilities less frequently and by being less responsive to task- and firm-level complexity This tendency is driven by an overestimation of their own abilities and an underappreciation of other executives' expertise, which reduces their willingness to share responsibility for strategic activities

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Junge et al. (2023)	The role of organizational structure in senior managers' selective information processing	*Journal of Management Studies*	Quantitative	Functional structure Divisional structure	CEO independent reasoning ability (incl. education, career diversity, TMT tenure)	CEO environmental perception gap (CEO-perceived environmental uncertainty vs. objective uncertainty)	Upper echelons theory Attention-based view	USA	CEO	Reciprocal influence	Functional structures increase CEOs' perception gaps due to inward focus. Divisional structures reduce perception gaps by better aligning with external markets. Higher CEO education, career diversity, and TMT tenure reduce structure-induced perception gaps, acting as moderators
Kaehr Serra and Thiel (2019)	Professionalizing entrepreneurial firms: Managing the challenges and outcomes of founder-CEO succession	*Strategic Entrepre-neur-ship Journal*	Qualitative	Founder-CEO succession by professional CEO	N/A	Adoption of organizational design Company morale	N/A	USA	CEO	Experience and demographics	Professional CEOs replacing founder-CEOs often introduce a layered power hierarchy and formalized decision-making frames. This shift represents a transition from informal, founder-centric management to a more structured and scalable organizational design
Karim and Williams (2012)	Structural knowledge: how executive experience with structural composition affects intrafirm mobility and unit reconfiguration	*Strategic Management Journal*	Quantitative	Structural composition of source unit (acquired, internal, recombined) Number of executives moving Executive recombination experience	N/A	Executive mobility (destination unit type) Unit recombination (recombined vs. unchanged)	Knowledge-based view Human capital theory	USA	TMT	Experience and demographics	Executives tend to move to units with similar structural composition as where they previously worked The likelihood of unit recombination increases when units receive executives from internally developed units, executives with recombination experience, and a greater number of incoming executives. Units receiving executives from acquired units are more likely to remain structurally unchanged

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Karim et al. (2016)	Delaying change: Examining how industry and managerial turbulence impact structural realignment	*Academy of Management Journal*	Quantitative	Industry munificence Industry dynamism Managerial turbulence	Managerial turbulence	Structural realignment	Contingency theory	USA	TMT	Environmental characteristics	Strategic leaders initiate structural recombination during times of industry munificence, but delay these efforts during periods of industry turbulence and dynamism
Kearns and Sabherwal (2006)	Strategic alignment between business and information technology: A knowledge-based view of behaviors, outcome, and consequences	*Journal of Management Information Systems*	Quantitative	Organizational emphasis on knowledge management Centralization of IT decisions	N/A	Top management support for the IT function	Knowledge-based view	USA	TMT	Experience and demographics	Strong support from top leadership for strategic information systems planning (SISP) increases alignment between business and IT department strategies. This alignment enhances the effectiveness of IT management, particularly in firms with a strategic orientation toward innovation and exploration

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Lewin and Stephens (1994)	CEO attitudes as determinants of organizational design - An integrated model	*Organization Studies*	Conceptual	CEO attitude	CEO factors (latitude/ discretion, elite social status, abilities, tenure) Environmental factors (munificence, industry competitiveness)	Organizational design features (formalization, centralization, hierarchy, reward systems, monitoring systems, strategy types)	Contingency theory Upper echelons theory	N/A	CEO	Trust and moral characteristics	Need for achievement: coherent strategy, formal planning, integrated and differentiated structures, and formalized goals Machiavellianism: centralized hierarchy, tight control, supervision, status-based rewards, homogeneous TMTs, and employee selection favoring obedience Egalitarianism: decentralized structure, flat hierarchy, employee voice, grievance systems, and equal rewards Trust: self-management, low supervision, intrinsic motivation, and few ethical controls Internal locus of control: proactive strategic planning, environmental monitoring, and adaptive structures Tolerance for ambiguity: decentralized, organic design, delegation, heterogeneous TMTs, prospector/analyzer strategies Risk propensity: high risk leads to prospector/analyzer/ reactor types, whereas low risk leads to defender/reactor types Moral reasoning: ethical climate, stakeholder engagement, and philanthropy

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Ling et al. (2008)	Transformational leadership's role in promoting corporate entrepreneurship: Examining the CEO-TMT interface	*Academy of Management Journal*	Quantitative	CEO transformational leadership	TMT behavioral integration	Corporate entrepreneurship (new venture creation, strategic renewal, innovation)	Upper echelons theory Transformational leadership theory	USA	CEO	Trust and moral characteristics	Transformational CEOs, characterized by charisma and inspirational leadership, promote corporate entrepreneurship. These CEOs also play a direct role in shaping behavioral integration and decentralization of responsibilities within the TMT, which are associated with increased corporate entrepreneurship
Marquis and Lee (2013)	Who is governing whom? Executives, governance, and the structure of generosity in large U.S. firms	*Strategic Management Journal*	Quantitative	CEO tenure Percentage of women in senior leadership positions and on boards of directors Number of directors Foundation assets	Foundation size (corporate foundation assets)	Corporate philanthropic contribution	Upper echelons theory	USA	Other	Reciprocal influence	Organizational structure, specifically the presence and size of a corporate foundation, constrains the influence of directors regarding decisions on corporate philanthropy
Mihalache et al. (2014)	Top Management Team shared leadership and organizational ambidexterity: A moderated mediation framework	*Strategic Entrepreneur-ship Journal*	Quantitative	TMT shared leadership (degree of responsibilities distributed)	Centralization of decision-making Connectedness of interaction and communication	Organizational ambidexterity	Upper echelons theory Strategic entrepreneurship theory	Netherlands	TMT	Trust and moral characteristics	TMTs that practice shared leadership (where leadership responsibilities are distributed across all TMT members, rather than centered on the CEO) can significantly enhance organizational ambidexterity by fostering cooperative conflict management and comprehensive decision-making

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Mullins and Schoar (2016)	How do CEOs see their roles? Management philosophies and styles in family and non-family firms	*Journal of Financial Economics*	Quantitative	CEO types (founder, related, professional in family firm, professional in non-family firm)	N/A	Hierarchical vs. flat management Delegation vs. Supervision Accountability to stakeholders Emphasis on change vs. maintaining values	N/A	Multicountry	CEO	Experience and demographics	Founder-led organizations tend to maintain hierarchical structures with fewer direct reports to the CEO. These CEOs often view their role as guardians of the firm's legacy, emphasizing the preservation of established values and strategies over transformative change In contrast, professional CEOs typically adopt flatter organizational structures with greater delegation of authority and a more participatory decision-making style, enabling them to implement strategic changes more effectively Founders tend to imprint their management philosophy on the organization, an effect that often persists under family successors. However, when leadership transitions to external professional managers, firms are more likely to shift toward decentralized structures and modern management practices

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Neeley and Reiche (2022)	How global leaders gain power through downward deference and reduction of social distance	*Academy of Management Journal*	Mixed (quant. and qual.)	Downward deference behavior	Cultural richness of international experience Time abroad Breadth of countries lived in	Job performance (promotion to executive levels)	Social distance theory of power	Multicountry	Other	Trust and moral characteristics	Strategic leaders who exhibit downward deference acknowledge their limitations in local expertise and seek input and guidance from subordinates, fostering greater collaboration and informal power-sharing that enables local employees to contribute Strategic leaders who effectively reduce social distance with their teams create environments of trust in which hierarchical barriers are softened, enabling more open communication and collaboration Strategic leaders with high cultural sensitivity are better equipped to navigate the complexities of global markets, contributing to more agile and resilient organizational responses Strategic leaders who foster trust and openness can enable stronger collaboration within their teams, which may support higher levels of engagement and collective problem-solving, especially in culturally complex environments

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Oehmichen et al. (2017)	Keeping their cards close to their chests: How non-delegating CEOs avoid forced career ends	*Human Resource Management*	Quantitative	CEO non-delegation (share of functional responsibilities in the TMT)	CEO-TMT tenure TMT size TMT structural complexity	Forced CEO dismissal	Agency theory Resource-based view	Germany	CEO	Power and control orientation	CEOs who choose not to delegate responsibilities to their TMT members are more likely to maintain and develop information asymmetries that centralize knowledge and decision-making authority. Such non-delegation serves to safeguard CEO power by limiting information sharing rather than fostering collaborative decision-making, thereby reducing their likelihood of forced dismissal
Orser et al. (2013)	Entrepreneurial feminists: Perspectives about opportunity recognition and governance	*Journal of Business Ethics*	Qualitative	Feminist values Entrepreneurial identity Personal life experiences	N/A	Organizational structure and governance form (hierarchical vs. participative)	Entrepreneurship theory Feminist theory	Canada	Other	Experience and demographics	Feminist entrepreneurs build businesses with flat, non-hierarchical, collaborative organizational structures emphasizing open communication, flexibility, and team-based governance. Venture creation is motivated by personal experience, community building, enabling other women, and life transitions. Financial motives are largely absent, with ventures serving as vehicles for social change

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Papadakis et al. (1998)	Strategic decision-making processes: The role of management and context	*Strategic Management Journal*	Mixed (quant. and qual.)	Decision-specific characteristics (impact, crisis, uncertainty, pressure, type, familiarity) CEO characteristics (need for achievement, risk propensity, tenure, education) TMT characteristics (aggressiveness, education) Firm characteristics Environmental factors	N/A	Strategic decision-making process dimensions (comprehensiveness, formalization, financial reporting, hierarchical decentralization, lateral communication, politicization, problem-solving dissension)	Behavioral decision theory Strategic choice theory	Greece	TMT	Experience and demographics	Decision-specific characteristics (impact, crisis, uncertainty, pressure, familiarity) are the strongest predictors of strategic decision-making processes. Internal firm factors (planning formality, ownership, size, past performance) also affect certain process dimensions CEO and TMT characteristics show only weak effects, with higher education in CEO and TMT weakly associated with greater comprehensiveness and formalization Hierarchical decentralization is shaped by decision-specific factors but not by CEO or TMT characteristics; environmental factors have limited and inconsistent influence

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Pearce and Manz (2011)	Leadership centrality and corporate social irresponsibility (CSIR): The potential ameliorating effects of self and shared leadership on CSIR	*Journal of Business Ethics*	Conceptual	Leadership centrality Self and shared leadership CEO personalized vs. socialized power motive	Interaction between self-leadership and shared leadership CEO power motive as an upstream driver of leadership structure	Corporate Social Irresponsibility (CSIR)	N/A	N/A	TMT	Power and control orientation	CEO and TMT power motives influence strategic leadership structure. Personalized power promotes centralized leadership (leadership centrality), increasing corporate social irresponsibility (CSIR) Socialized power fosters decentralized leadership structures (self-leadership and shared leadership), reducing CSIR risk Decentralized structures enable the emergence and effectiveness of shared leadership within the TMT. The combination of high self-leadership and shared leadership provides the strongest protection against CSIR
Primeaux and Beckley (1999)	Double bookkeeping: Hierarchical obedience and participative cooperation	*Journal of Business Ethics*	Conceptual	Organizational structure (hierarchical vs. participative)	N/A	Ethical dynamics and behavioral expectations	N/A	N/A	Other	Reciprocal influence	Hierarchical structures typically attract strategic leaders who embody attributes stereotypically associated with men, such as rationality, authority, and obedience. In contrast, participative approaches align more closely with feminist values, emphasizing cooperation, relational intimacy, and embodied reason. These two approaches are generally incompatible and their coexistence within the same organization leads to conflict and injustice

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Roh et al. (2016)	The appointment of chief supply chain officers to top management teams: A contingency model of firm-level antecedents and consequences	*Journal of Operations Management*	Quantitative	Leverage Internationalization Diversification	Same as independent variables	CSCO appointment Firm performance (ROA)	Contingency theory	USA	Other	Firm characteristics	Geographic market structure, internal structural complexity based on product diversification, and financial leverage are key antecedents of CSCO roles being created within the TMT
Schumacher (2021)	Organizational structure and CEO dominance	*Journal of Organization Design*	Quantitative	Dominance (proportion of words spoken by CEO, share of CEO takeovers in Q&A sessions, inverse ratio of CEO takeovers to polite words used)	N/A	COO appointment Span of control	Upper echelons theory	USA	CEO	Power and control orientation	Dominant CEOs have larger spans of control and are less likely to appoint COOs. Dominance leads to centralization of decision-making, with effects remaining after controlling for narcissism and firm characteristics

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Vuori (2024)	Emotions and attentional engagement in the attention-based view of the firm	*Strategic Organization*	Conceptual	Organizational structures and practices that shape emotional responses (visibility of issues, identity relevance, physical cues) Interaction ritual context (co-presence, attentional focus, physiological readiness)	Contingencies as emotional valence (approach/avoidance tendencies) Emotional energy (high/low)	Attentional engagement	Attention-based view	N/A	Other	Reciprocal influence	Organizational structures and communicative practices shape the emotional responses of strategic leaders, and these emotions, especially approach and avoidance tendencies as well as emotional energy, significantly influence how attention is allocated, sustained, and institutionalized within the firm
Wiersema and Bantel (1993)	Top management team turnover as an adaptation mechanism – the role of the environment	*Strategic Management Journal*	Quantitative	Environmental munificence Environmental instability Environmental complexity	N/A	TMT turnover	Upper echelons theory Organizational adaptation theory	USA	TMT	Environmental characteristics	TMT turnover is not simply a reaction to poor performance, but rather a proactive or reactive response to environmental challenges. Environmental instability and complexity increase TMT turnover, while munificence decreases turnover

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Wong et al. (2011)	The effects of Top Management Team integrative complexity and decentralized decision making on corporate social performance	*Academy of Management Journal*	Quantitative	TMT integrative complexity Decentralization of decision-making	Decentralization	Corporate social performance	Upper echelons theory	USA	TMT	Reciprocal influence	A higher integrative complexity of the TMT and greater decentralization independently contribute to improved corporate social performance (CSP). There is a moderating effect of organizational structure: decentralization reduces the extent to which high integrative complexity is necessary for positive stakeholder outcomes In centralized firms, CSP is highly sensitive to the cognitive sophistication of executives. In contrast, decentralized structures appear to buffer the firm from the limitations of less cognitively complex TMTs by distributing decision authority across organizational levels
Berson et al. (2008)[a]	CEO values, organizational culture and firm outcomes	*Journal of Organizational Behavior*	Quantitative	CEO values	N/A	Organizational culture and outcomes	Upper echelons theory	Israel	CEO	Power and control orientation	Strategic leaders with strong security values tend to maintain stability and employ a set of routines to determine clear and strict rules and procedures as typically seen in bureaucratic organizational forms. These forms tend to be centralized and characterized by high levels of formalization, hierarchy, and lack of flexibility

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Chattopadhyay et al. (2001)[a]	Organizational actions in response to threats and opportunities	*Academy of Management Journal*	Quantitative	Perceived environmental conditions	Strategic type Slack resources	Direction of organizational action	Prospect theory Threat-rigidity hypothesis	USA	Other	Environmental characteristics	Executives' interpretations of environmental events as threats, more so than as opportunities, profoundly influence their strategic and structural responses. These responses are shaped not only by the executives' cognitive framing but also by organizational factors such as strategic orientation and slack resources, ultimately leading to changes in organizational design
Gavetti (2005)[a]	Cognition and hierarchy: Rethinking the micro-foundations of capabilities' development	*Organization Science*	Conceptual	N/A	N/A	Capability evolution	N/A	N/A	Other	Trust and moral characteristics	Strategic beliefs and mental models of top managers (the way they perceive competition, trends, synergies) shapes decisions about coordination, centralization, and resource allocation
Giberson et al. (2009)[a]	Leadership and organizational culture: Linking CEO characteristics to cultural values	*Journal of Business and Psychology*	Quantitative	CEO Big Five personality traits	N/A	Organizational culture values	Attraction-Selection-Attrition Theory Schein's theory of organizational culture	USA	CEO	Power and control orientation	Certain CEO personality traits are significantly related to cultural values of the organizations they lead. Lower openness to experience and lower extraversion are associated with a hierarchy culture characterized by formalization and bureaucratic structures

Table 4 (continued)

Author(s) and year		Journal	Research design	Independent variable(s)	Moderators	Dependent variable(s)	Theoretical anchoring	Geographic scope	Focal strategic leader	Thematic category	Central findings
Hambrick and Mason (1984)[a]	Upper Echelons: The Organization as a Reflection of Its Top Managers	*Academy of Management Review*	Conceptual	N/A	N/A	N/A	Upper echelons theory	N/A	TMT	Experience and demographics	Organizational outcomes are at least partially predicted by strategic leaders and their past experiences, characteristics, background, managerial styles and values Executives with more formal business education tend to create more administrative complexity (e.g., detailed planning systems and complex coordination structures)
Verle et al. (2014)[a]	Managerial competencies and organizational structures	*Industrial Management & Data Systems*	Quantitative	Social leadership competencies Action competencies	N/A	Organizational structure Company performance	N/A	Slovenia	TMT	Trust and moral characteristics	Strategic leaders high in social leadership traits (i.e., empathy, listening, fairness and team orientation) are more likely to adopt flexible and horizontal structures supporting decentralized authority Additionally, companies displayed a shift from functional structures toward matrix or process-based structures during the observation period, alongside evidence that managerial competencies are significantly related to organizational structure type

[a] Identified through sources other than Web of Science

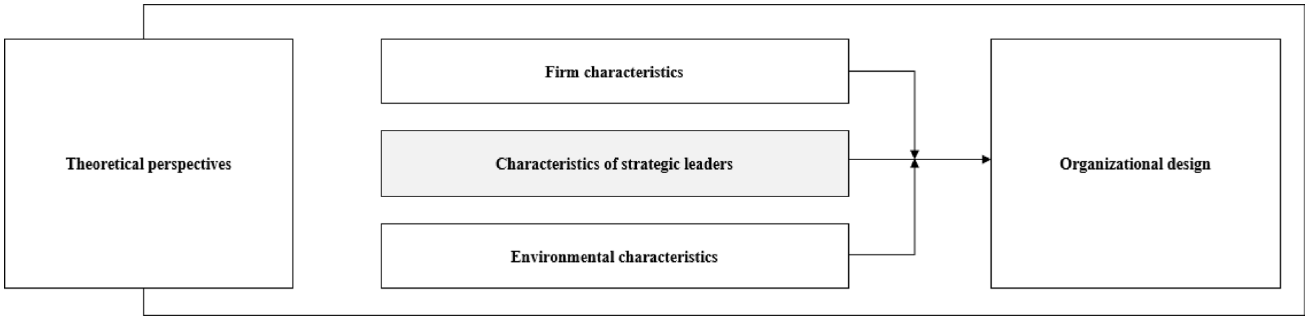

Fig. 3 Preliminary conceptual framework

composition, with particular emphasis on the appointment of a Chief Operating Officer (COO) as a key structural element related to the delegation of responsibility and decision-making authority. Unlike other C-level positions, which typically merely expand functional specialization, the COO role directly splits decision-making authority between the CEO and the executive team. In this regard, Hambrick and Cannella (2004) provide quantitative evidence that CEOs with a finance or law background, or those who are newly appointed, are more likely to appoint a COO to compensate for limited operational experience or firm-specific knowledge, respectively. Conversely, CEOs with extensive operational experience tend to perceive themselves as hands-on operating managers and exhibit a lower propensity to appoint a COO.

The influence of strategic leaders' backgrounds also manifests in their prioritization of specific organizational functions and departments, directly shaping the distribution of resources, delegation of authority, and assignment of relevance within the organization. Their willingness to delegate authority is shaped by their prior involvement in and perceptions of individual functions, as well as their interpretation of the organization's strategic objectives. For instance, Kearns and Sabherwal (2006) evaluate this effect for the case of strategic leaders' involvement in the information technology (IT) department. Their findings suggest that higher involvement and centralization of decision-making in the IT department can lead to an increased focus on, and support for, the IT function. This support enhances the alignment between overall business and IT strategies, as well as their collective effectiveness. Comparable dynamics are found in other domains such as human resources, where the strategic involvement of a division is closely tied to strategic leaders' perceptions of its value and competence (Brandl and Pohler 2010), reinforcing the notion that executive background and corresponding cognition play a central role in the allocation of decision-making authority, organizational attention, and resources.

Differences in professional background are further evident in comparisons between founder and professional CEOs. Mullins and Schoar (2016) explore how founders who assume the CEO role differ from professional CEOs in terms of their management practices and preferences for organizational design. They find that founder CEOs are more likely to establish hierarchical structures, marked by fewer direct reports and greater centralization of decision-making authority. These strategic leaders often see themselves as guardians of the organization, emphasizing the maintenance of legacy structures and values. This imprint on the organizational structure can persist well beyond the founder's tenure, particularly in cases involving family succession. In contrast to founder CEOs, professional CEOs, especially those with diverse leadership experience across multiple organizations, tend to favor flatter hierarchies, greater delegation of authority, and participatory approaches to decision-making, enabling them to pursue strategic change more effectively. While these preferences reflect a less centralized approach to leadership, transitions from founder-led to professionally managed firms often also entail broader organizational redesign and professionalization. Kaehr Serra and Thiel (2019) show that founder-CEO succession is typically associated with the introduction of more formalized roles, standardized procedures, and layered authority structures to support organizational growth and coordination. This transition reflects a shift from informal, founder-centric governance models to more standardized and scalable organizational designs. Beyond stemming from differences in preferences, this shift can also reflect differences in managerial experience and capabilities. Founder CEOs often rely on informal and centralized coordination that is effective at smaller scales, whereas professional CEOs typically possess greater experience with complex organizational systems and formal governance structures.

Similar to functional and professional background, strategic leaders' tenure also plays a role in shaping organizational design. For instance, Graham et al. (2015) study delegation of financial decision-making and show that longer-tenured CEOs are more inclined to centralize authority and less willing to delegate key responsibilities, particularly in areas where they have substantial expertise. This tendency reflects both a desire to maintain control over critical decisions and a strong confidence in their accumulated judgment.

Strategic leaders' prior experience with specific organizational designs also shapes their subsequent organizational design decisions. Specifically, Karim and Williams (2012), drawing on a knowledge-based perspective, find that executives' prior experience with specific structural compositions influences organizational design decisions in new positions and units they move to. Because of their familiarity with certain structures, executives are more likely to reconfigure destination units to mirror prior arrangements, particularly those executives with experience in internally developed or recombined units.

Demographic differences have also been linked to organizational design outcomes. Although empirical studies focused specifically on gender remain scarce, Orser et al. (2013) explore how female strategic leaders espousing feminist values influence organizational structures and governance within their firms. Their findings suggest that such values shape strategic leaders' attention to relational and cooperative aspects of organizing, resulting in organizational environments characterized by collaboration, flexibility, and less hierarchical structuring. Specifically, feminist values orient strategic leaders toward egalitarian relationships and mutual respect, which influences how they interpret coordination problems and select non-hierarchical governance mechanisms that emphasize cooperation over formal authority.

Strategic leaders' trust and moral characteristics

We further identify trust and moral characteristics, along with the closely associated and similarly value-laden concept of transformational leadership, as additional attributes that shape strategic leaders' design choices. These attributes shape leaders' preferences, for example for coordination mechanisms, decentralization, or the distribution of resources (Gavetti 2005). Although they operate through partly different mechanisms, they share a tendency to reduce reliance on formal hierarchical control and to favor more participatory designs.

The first theme centers on trust, defined as a willingness to accept vulnerability based on positive expectations about others' intentions and behavior (Rousseau et al. 1998). Strategic leaders who exhibit high levels of trust are argued to design more non-hierarchical and flexible organizations by reducing supervisory control and emphasizing autonomy, self-management, and intrinsic motivation as organizing principles (Lewin and Stephens 1994). High-trust strategic leaders perceive lower risks of opportunism and therefore feel less need to rely on tight supervisory control, which increases their willingness to delegate. Empirical work by Neeley and Reiche (2022) supports this view, showing that strategic leaders who foster high levels of trust within their teams create cultures of openness and proximal collaboration. Such strategic leaders effectively reduce social distance, thereby encouraging input and guidance from subordinates. As a result, hierarchical barriers are softened and decision-making becomes more localized and inclusive, with subordinates playing a greater role in the decision-making process, even within formal hierarchical structures.

The second theme centers on moral characteristics, encompassing traits such as virtue, humility, and empathy. Strategic leaders who embody these traits are seen as ethical, capable of appreciating others, accepting feedback, and understanding diverse perspectives. Conceptual work suggests that virtuous strategic leaders tend to favor more horizontal designs, characterized by reduced hierarchy and broader participation (Carlin and Gervais 2009). Such preferences are rooted in self-imposed moral obligations and value-based motivation, which orients strategic leaders toward ethical behavior and shared responsibility. Consistent with this, strategic leaders who display stronger moral characteristics tend to shape organizational policies that emphasize ethical and participatory behavior across the organization (Cortes-Mejia et al. 2022; Lewin and Stephens 1994). Empirical findings further support this, showing that strategic leaders who demonstrate humility, openness, and appreciation of others promote decentralization and collaborative decision-making within the TMT context (Cortes-Mejia et al. 2022). Such collaborative leadership contexts are consistent with shared leadership within the TMT, where leadership influence is distributed across members rather than concentrated solely in the CEO. This shared leadership, in turn, promotes cooperative conflict management and comprehensive decision-making processes that can enhance organizational ambidexterity (Mihalache et al. 2014). Similarly, empirical research by Verle et al. (2014) finds that strategic leaders with strong social leadership competencies, comprising empathy, active listening, fairness, and team orientation, are more likely to adopt flexible and horizontal designs that support decentralized authority. These competencies reflect value-based motivations that prioritize relational coordination and reduce reliance on formal hierarchical control, as leaders are better able to align and motivate subordinates through interpersonal trust, empathy, and communication.

A related but conceptually distinct concept is transformational leadership. While transformational strategic leaders share value-laden elements with trusting and morally oriented strategic leaders, they influence organizational design through a different primary mechanism. Transformational strategic leaders motivate followers through idealized influence, inspirational motivation, intellectual stimulation, and individualized consideration (Bass and Riggio 2006; Ling et al. 2008). Rather than relying primarily on interpersonal trust or self-imposed moral obligation, they construct a shared vision and collective identity that align members around common goals and values. This identity-based alignment reduces the need for formal hierarchical control, as coordination is achieved through internalized commitment and shared purpose rather than supervisory oversight. By fostering a culture of corporate entrepreneurship and inspiring others through a compelling vision, transformational strategic leaders promote interaction and shared responsibilities, especially within the TMT (Ling et al. 2008), all hallmarks of flatter and less centralized organizational forms.

In sum, the literature suggests that strategic leaders who emphasize trust and moral orientation shape organizational design primarily by reducing the perceived need for control and by acting on value-based motivations that prioritize fairness, participation, and shared responsibility. These orientations foster open, flexible, and decentralized organizational designs by softening supervisory oversight and encouraging relational coordination (Carlin and Gervais 2009; Cortes-Mejia et al. 2022; Lewin and Stephens 1994; Neeley and Reiche 2022). Transformational strategic leaders, often associated with similar value-laden traits and structural outcomes, operate through constructing shared vision and collective identity to align members and mobilizing commitment through inspirational motivation. This reduces reliance on formal authority by embedding coordination within shared purpose rather than control (Bass and Riggio 2006; Ling et al. 2008).

Strategic leaders' power and control orientation

The third category focuses on the power and control orientation of strategic leaders. The reviewed literature suggests a clear tendency among power-oriented and control-seeking strategic leaders to develop centralized structures within organizations. This centralization is characterized by a reluctance to delegate decision-making authority, both broadly across the organization and within the TMT. Schumacher (2021), for instance, shows that dominant CEOs often avoid creating roles in the TMT that could dilute their authority, such as a COO. Similarly, he finds that dominant CEOs have larger spans of control by expanding the number of direct reports, which typically reflects greater centralization of authority. CEOs who opt not to delegate responsibilities across the TMT develop information asymmetries and centralize knowledge. This serves to strengthen their control and safeguard their position at the top of the organization, often at the expense of collaboration and shared decision-making (Oehmichen et al. 2017).

A similar pattern emerges for CEO overconfidence. In the context of acquisition decisions, Josefy et al. (2026) find that more overconfident CEOs exhibit more centralized decision-making by delegating strategic responsibilities less frequently. This tendency is driven by an overestimation of their own abilities and an underappreciation of other executives' expertise, reducing their willingness to share responsibility and limiting the involvement of other executives. Conceptually, Pearce and Manz (2011) argue that a high need for personalized power in CEOs is associated with centralized leadership. Strategic leaders driven by personalized power motives tend to institute organizational designs in which they can accumulate authority and avoid institutional checks and balances. Rather than empowering others, they seek to enhance their own status and control, pursuing personal rewards and influence over collective outcomes.

For control-oriented strategic leaders, centralization also serves as a mechanism for ensuring predictability and stability. Underlying this orientation is the need for control and security, which leads such leaders to prefer structured environments and thus organizations governed by fixed routines, clearly defined roles, and strict procedures. For example, Berson et al. (2008) find that strategic leaders who hold strong security values are more likely to establish bureaucratic organizational forms characterized by high levels of formalization, rigid hierarchies, and limited flexibility to ensure stability. Complementing these findings, Giberson et al. (2009) provide empirical evidence linking CEO personality traits to elements of organizational culture relevant to organizational design. Drawing on the Big Five personality framework, they show that CEOs with lower levels of extraversion and openness to experience are more likely to foster hierarchical organizational cultures, marked by bureaucratic structures and formalized processes. Strategic leaders lower in extraversion and openness tend to have narrower attentional focus and greater preference for predictability, order, and control, which shapes cultural values that emphasize stability, routine, and control. These cultural values, in turn, make hierarchical structures and formalized processes more legitimate and enduring within the organization.

Taken together, this stream of research suggests that power- and control-oriented strategic leaders tend to centralize decision rights and institutionalize authority through structural mechanisms such as span of control, formalization, and hierarchical layering. Cognitive biases, such as CEO overconfidence, can further reinforce these tendencies by reducing delegation and concentrating decision authority.

Influence of organizational design on strategic leaders

In addition to the influence of strategic leaders on organizational design decisions, the literature also reveals a reverse effect. Organizational design also affects strategic leaders, specifically their leadership style and behaviors. In terms of leadership style, Pearce and Manz (2011), for instance, argue that decentralized structures create conditions that facilitate shared and self-leadership within the TMT, whereas highly centralized structures concentrate leadership authority in the CEO, thereby limiting the development of these distributed forms of leadership. Regarding behavior, for example, decentralization alongside greater organizational complexity has been identified as an internal antecedent of strategic leader wrongdoing. Daboub et al. (1995), in their study on TMT members, argue that in decentralized firms, divisional autonomy, particularly when combined with performance pressure, increases the risk of strategic leaders' misconduct. Further, structural features of organizational design can constrain the behavior and influence of strategic leaders, shaping the extent to which individuals' preferences translate into organizational outcomes. In their study of Fortune 500 firms, Marquis and Lee (2013) investigate the relationship between strategic leaders and corporate philanthropic contributions. They show that philanthropy is not only a reflection of strategic leaders' preferences but is also shaped by structural arrangements, in particular the decentralization of philanthropic decision-making through corporate foundations. Such foundations act as structures that channel and formalize giving, ultimately limiting strategic leaders' discretion.

Beyond impacting or limiting behavior, the organization's design also influences strategic leaders' cognition, emotion, and attention (Albert and Eklund 2026; Junge et al. 2023; Vuori 2024). According to Junge et al.'s (2023) study on S&P 500 CEOs, organizational structure shapes CEOs' perceptions of the competitive environment. They show that functional structures are associated with larger gaps between the CEOs' perceptions and objective environmental conditions, whereas divisional structures are associated with smaller gaps. In their framework, structure channels and acts as a filter for information that reaches the CEO, thereby affecting the accuracy of environmental perceptions. Functional structures concentrate information within specialized units, which can limit cross-domain integration at the top, while divisional structures provide more integrated information organized around products, customers, or markets. The authors further show that in functional structures, perceptual gaps are reduced when CEOs possess stronger independent reasoning abilities, shaped by education, career diversity, and tenure. Complementing this cognitive view, Vuori (2024) conceptually argues that organizational structures and communicative practices do not merely direct attention but also produce emotional responses that regulate attentional engagement. By shaping emotions such as confidence, anxiety, or perceived threat, organizational design can sustain or suppress strategic leaders' willingness to engage with issues related to strategy, change, and innovation.

Extending this attention-based perspective, Albert and Eklund (2026) show that organizational hierarchy shapes the strategic priorities that senior executives pursue. Building on the behavioral theory of the firm and the attention-based view, they find that functional sub-groups within executive teams do not act homogeneously, as executives at different levels of the organizational hierarchy attend to different issues despite pursuing the same overarching goals. Specifically, executives at higher organizational levels adopt a broader, schema-driven perspective, whereas executives at lower levels focus on local, operational concerns. In this way, the organization's structure channels where executive attention is directed, shaping the strategic agenda and ultimately influencing strategic leaders' decisions.

In addition, organizational design shapes the types of strategic leaders that firms attract and retain. Beckman and Burton (2008) show that initial design choices leave a lasting imprint on the composition and characteristics of strategic leaders who later join the organization. Hierarchical structures, emphasizing formal authority and control, tend to attract and retain strategic leaders who value order and obedience. In contrast, participative structures, which foster collaboration and relational connectedness, appeal to strategic leaders who emphasize cooperation and trust (Primeaux and Beckley 1999). Organizational design also influences strategic leader retention through the extent to which strategic leaders' structural knowledge aligns with organizational requirements. In the context of mergers and acquisitions, Du and Tsolmon (2026) show that target firm TMT members are more likely to be retained when the target and acquiring firms exhibit similar organizational designs, as their structural knowledge can be more effectively leveraged to facilitate integration. Together, these patterns highlight the dynamic interplay between design decisions and the evolution of strategic leadership composition.

Finally, organizational design can also have a moderating effect. Boone and Hendriks (2009) find that decentralization strengthens the positive effects of functional background diversity in the TMT on firm performance by enabling teams to leverage diverse expertise but exacerbates interpersonal conflict when personality diversity is high. Centralization, in this context, can act as a buffer. Similarly, Carton et al. (2023) show that hierarchy enables concrete-thinking CEOs, i.e., those focused on specific and image-based information, to adopt broader strategic perspectives and lead large-scale organizational change. In this context, structure acts as an information filter, as hierarchical layers channel and aggregate information upward. This filtering process helps such strategic leaders move beyond localized details and engage with system-level patterns, reflecting a mechanism consistent with broader theoretical perspectives emphasizing how organizational design directs attention and shapes decision-making (Cyert and March 1963; Ocasio 1997). Without strong hierarchy, such strategic leaders remain focused on short-term or localized tasks, limiting their capacity for greater transformative action. For abstract-oriented strategic leaders, in contrast, hierarchy has little impact, as they already adopt a broader cognitive orientation. Further, Wong et al. (2011) find that decentralization moderates the relationship between TMT integrative complexity—executives' ability to reconcile multiple perspectives—and corporate social performance. Under decentralized organizational designs, the need for integrative complexity is reduced as the burden of integration is distributed across the organization.

Conditioning role of firm characteristics in strategic leaders' design choices

Scholars have also acknowledged other factors as antecedents of organizational design, specifically firm characteristics, which impact design decisions of strategic leaders. These firm characteristics shape, for example, how strategic leaders delegate authority and distribute decision-making.

A central firm characteristic is organizational complexity. Drawing on an agency perspective, Graham et al. (2015) show that CEOs are more likely to delegate decision-making authority when their firms are large in size or multi-segment, i.e., in situations that increase managerial task overload and require information from lower levels of the hierarchy. Interestingly, the degree of delegation is not uniform across all policies as CEOs are least likely to delegate mergers and acquisitions (M&A) decisions, whereas capital allocation and investment decisions are among the more delegated policies, as they rely heavily on divisional and employee-level information. Importantly, the extent of delegation by CEOs is not fixed but can be managed through incentives. High levels of incentive-based compensation motivate CEOs to retain more direct control, thereby counteracting the tendency to delegate that arises under organizational complexity (Graham et al. 2015). Organizational complexity also stems from diversification, internationalization, and innovation pressure, making firms with broader product portfolios and global operations or different needs for innovation more likely to appoint differentiated roles to the top management team. These appointments reflect growing interdependencies across units as well as coordination and integration challenges resulting in a redistribution of decision-making authority within the top leadership team (Cheng and Love 2022; Roh et al. 2016).

Another relevant characteristic is a firm's growth trajectory. Graham et al. (2015) show that CEOs delegate less when their organizations experience high sales growth, as rapid expansion increases the strategic importance of investment decisions and motivates CEOs to retain control. At the same time, CEOs tend to retain decision-making authority in areas where their knowledge provides an advantage, particularly in external-facing decisions such as mergers and acquisitions. Thus, growth shapes strategic leaders' decisions by reinforcing CEO control in domains critical to firm value while prompting selective delegation in less strategic areas. A firm's past growth trajectory also influences strategic leaders' behavior and corresponding organizational design. When companies have undergone multiple M&A deals, the resulting increase in workload and distraction often leads CEOs to delegate routine policies to other executives.

A further conditioning factor is the firm's life-cycle stage, which shapes the discretion strategic leaders have to change organizational design. In earlier stages, design choices are often less institutionalized and structural commitments are weaker, increasing leaders' latitude to imprint preferred coordination mechanisms or authority distributions (Hannan and Freeman 1984; Waguespack et al. 2018). Consistent with this notion, Beckman and Burton (2008) show that the functional backgrounds of founding strategic leaders significantly shape early TMT composition and structural arrangements, effects that persist as organizations evolve. Such early choices become embedded in routines and subject to structural inertia, reinforcing their durability over time. As firms mature, accumulated routines, formalized systems, and interdependencies raise the costs of reconfiguration and constrain large-scale redesign (Hannan and Freeman 1984). Taken together, these insights suggest that strategic leaders in established firms face stronger constraints that encourage selective and incremental adjustments, whereas earlier-stage contexts offer greater latitude for experimentation and structural imprinting.

Collectively, the literature demonstrates that firm characteristics systematically condition how strategic leaders delegate authority, distribute decision-making, and enact structural change, also within the TMT. Organizational complexity, growth dynamics, and life-cycle stage shape the need for delegation as well as the discretion strategic leaders possess to translate their structural preferences into implementation. As such, these characteristics provide a contextual frame that both enables and constrains strategic leaders' choices, ultimately manifesting in differences in organizational designs.

Conditioning role of environmental characteristics in strategic leaders' design choices

In addition to strategic leaders' characteristics and firm-specific influences, research has shown that the external environment affects how strategic leaders make organizational design choices. For example, Eisenhardt et al. (2010) argue that dynamic environments create competing demands for efficiency and flexibility, requiring strategic leaders to deliberately design organizations that balance both objectives. The authors explain that "senior executives ultimately must integrate the contradictory cognitive agendas of efficiency and flexibility" (Eisenhardt et al. 2010, p. 1264). Accordingly, organizational design becomes a managerial response to environmental demands, with strategic leaders relying on cognitively sophisticated solutions, including abstraction and cognitive variety, to configure structures, decision processes, and coordination mechanisms that allow for both efficiency and flexibility.

Although environmental change generally increases the need for organizational adaptation (Burns and Stalker 1994; Lawrence and Lorsch 1967), Karim et al. (2016) demonstrate that changing environmental conditions impede strategic leaders' ability to implement structural realignment efforts. Specifically, they find that high environmental turbulence and dynamism slow strategic leaders' efforts to recombine business units because greater uncertainty makes it more difficult to process information and assess the likely performance implications of structural changes, leading to inertia rather than adaptation.

In contrast, Wiersema and Bantel (1993) focus on the TMT and show that similar environmental characteristics trigger reconfigurations and turnover there. Specifically, environmental complexity and instability increase the likelihood of TMT turnover, while environmental munificence reduces it. This occurs because complexity and instability generate uncertainty and ambiguous information about the competitive environment, which increases the likelihood that the existing TMT cannot effectively interpret and respond to environmental demands. In such contexts, turnover functions as an adaptation mechanism that enables the organization to refresh its strategic decision-making capacity and align strategic leadership with evolving environmental requirements. By contrast, more munificent conditions reduce pressure for TMT reconfiguration because greater resource availability provides organizations with more flexibility to cope with environmental demands without changing leadership. These findings suggest that the external environment influences not only strategic leaders' design decisions and their timing, but also continuity and stability in the group of strategic leaders.

In addition, environmental events shape strategic leaders' organizational design choices depending on how leaders interpret these events. When strategic leaders interpret events as control-reducing threats, i.e., situations that limit organizational autonomy or the ability to influence outcomes, they are more likely to initiate internally directed organizational design changes, such as modifying procedures, reallocating responsibilities, or eliminating organizational units. In contrast, when strategic leaders interpret events as threats of likely losses, i.e., situations in which they anticipate negative organizational outcomes such as resource depletion or declining performance, they are more likely to pursue externally directed actions, such as altering product-market strategies. These relationships are further moderated by the organizational context, namely firm strategy and slack resources. Specifically, firms pursuing a growth strategy and possessing greater slack resources are more likely to act externally, whereas firms pursuing a defensive strategy and possessing fewer slack resources are more likely to implement internally directed organizational design changes (Chattopadhyay et al. 2001).

Lastly, the broader cultural environment in which a firm operates influences how its strategic leaders make design decisions. Cultural differences, including variation in trust as well as in attitudes toward hierarchy, as proxied by Hofstede's power distance dimension (Hofstede 2001), are associated with significant variation in the degree of centralization within firms (Bloom et al. 2012). For instance, Bloom et al. (2012) evaluate different cultural environments throughout North America, Europe, and Asia and the corresponding effect on organizational design. They find quantitative evidence that CEOs of companies in high-trust regions such as Anglo-Saxon and Northern European countries tend to adopt more decentralized structures, whereas CEOs of firms in lower-trust regions, including Southern Europe and Asia, design their organizations to be more centralized.

Integrative framework for strategic leadership and organizational design

We synthesize the results of our literature review on the relationship between strategic leadership and organizational design into an integrative organizing framework shown in Fig. 4.

Although research is still limited in this domain, our review demonstrates that scholars have drawn upon a range of theoretical perspectives, including upper echelons theory, contingency theory, and agency theory, among others. Regarding the impact of strategic leadership on organizational design, we identify three primary factors that influence

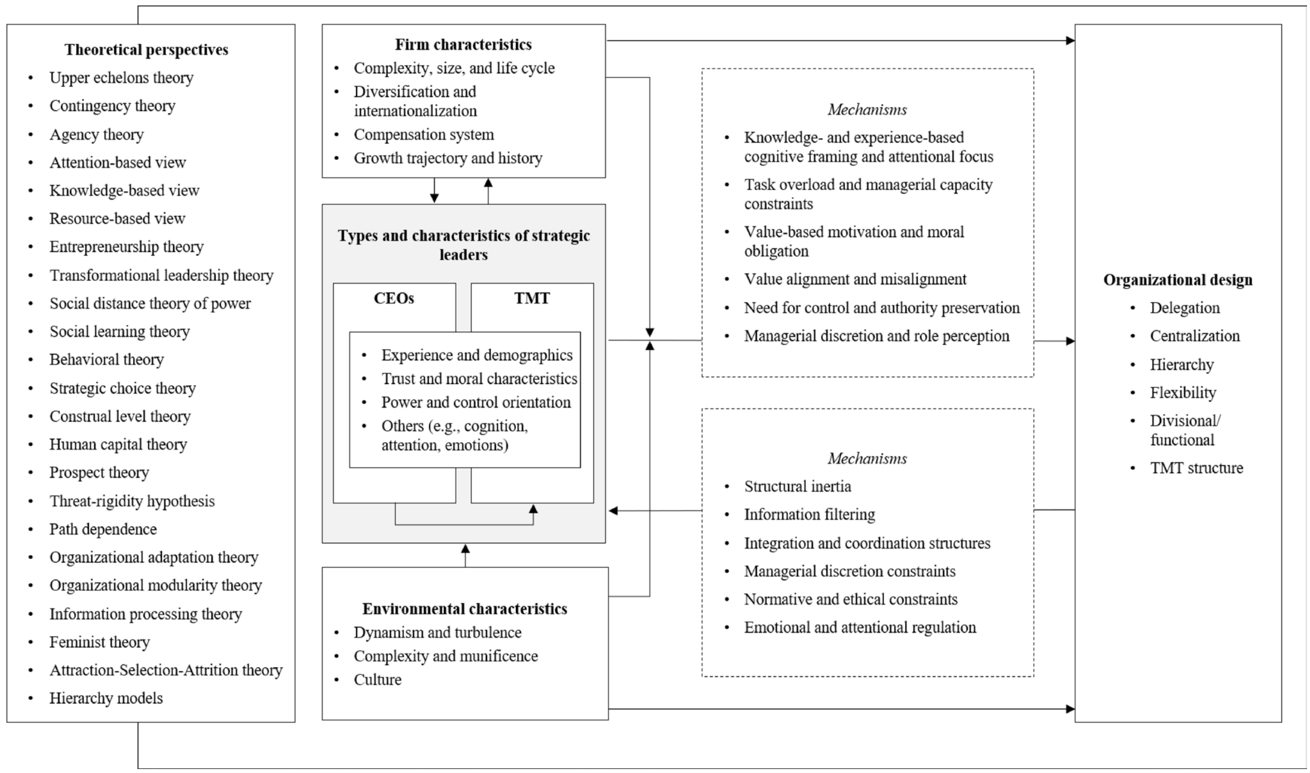

Fig. 4 Final conceptual framework for strategic leadership and organizational design

organizational design: the individual characteristics of strategic leaders, firm characteristics, and environmental characteristics. In addition, we report a reciprocal influence of organizational design on strategic leaders, which constrains or enables their design decisions.

For both directions of influence, the framework further synthesizes the core mechanisms identified in the literature into a condensed set of explanatory mechanisms. These mechanisms not only integrate insights across the reviewed studies but also provide a bridge to broader theoretical perspectives. In particular, several of the identified mechanisms map onto core ideas of the behavioral theory of the firm (Cyert and March 1963; March & Simon, 1958). For instance, knowledge- and experience-based cognitive framing and attentional focus shape how strategic leaders interpret and prioritize structural challenges under bounded rationality, while task overload further constrains their limited information-processing capacity, thereby intensifying selective attention. The mechanisms further align with key elements of the attention-based view (Ocasio 1997) in that they illustrate how organizational design determines the information available to strategic leaders and thereby directs their attention. In this sense, organizational design choices, such as delegation or centralization, can be understood as behavioral responses to these attention and information-processing constraints.

Agenda for future research

The limited body of research unearthed in our review underscores the need for further scholarly inquiry. Although existing studies provide valuable initial insights, the field remains underexplored, leaving several theoretical and empirical gaps unaddressed. We therefore propose a more systematic research effort that extends and deepens our understanding of the phenomenon. To this end, we develop an agenda for research designed to provide guidance and an impetus for future scholarship. Specifically, we organize our agenda into eight categories, derived from our findings, opportunities identified in prior scholarship, ongoing academic discussions, and major shifts in organizational design possibilities arising from technological developments.

Additional strategic leaders' personality traits and values

As indicated, most research focuses on a limited set of strategic leaders' personality traits, leaving much of the psychological landscape underexplored. Yet, research in adjacent domains demonstrates that numerous traits meaningfully affect other important organizational outcomes, suggesting they may hold equally significant implications for organizational design. For example, research has found that narcissistic CEOs tend to pursue bolder innovations as they spend more on R&D and innovate more (Cragun et al. 2020), suggesting they might also favor riskier, more radical design changes. Emerging research also considers traits like CEO paranoia, a tendency toward mistrust and suspicion (Ridge et al. 2024). This tendency could manifest in constraining or motivating structural changes under uncertainty, for example by leading paranoid CEOs to centralize authority to tightly monitor potential threats and maintain control. Strategic leaders' cognitive complexity, essentially their ability to process nuanced and complex information, is another factor (Graf-Vlachy et al., 2020a). Cognitively complex CEOs perform better in complex and munificent environments by leveraging their nuanced information processing (Malhotra and Harrison 2022), so they might design organizations with greater structural differentiation, cross-functional linkages, or higher information sharing.

Beyond the study of more individual traits, we encourage future scholarship to incorporate broader personality frameworks, for example by applying the Big Five (Goldberg 1990; McCrae and Costa 1995) or Dark Triad (Paulhus and Williams 2002) personality traits and studying their effect on organizational design decisions (Giberson et al. 2009). Broader frameworks allow for a more comprehensive and systematic understanding of strategic leaders' personalities, capturing multiple dimensions that jointly shape their strategic perceptions and corresponding design choices. Scholars could, for example, leverage linguistic measures that infer CEOs' Big Five traits from speech (Aabo et al. 2023, 2024; Harrison et al. 2019) to further link personality to organizational design decisions.

Beyond personality traits, we see substantial value in examining the role of strategic leaders' values. Although values have long been a central construct in psychology, most prominently in basic values theory (Sagiv and Schwartz 2022; Schwartz 1992; Schwartz et al. 2012), they have received relatively limited attention in management research (Chin et al. 2021; Chin and Semadeni 2017; Gupta et al. 2017). Notably, values are an integral component of the original formulation of UET (Hambrick and Mason 1984), yet their explicit examination in organizational contexts has only recently gained momentum. Much of this renewed interest stems from research on strategic leaders' political ideologies as a proxy for understanding values (Chin et al. 2021; Hambrick and Wowak 2021). For instance, CEOs with liberal orientations have been shown to foster stronger corporate social responsibility agendas (Chin et al. 2013) and place less emphasis on process accountability compared to their conservative counterparts (Tetlock et al. 2013). Such differences in values may translate into distinct structural choices, including variation in hierarchical depth and the extent of decision-making participation. In sum, we see great value in examining which personality traits and values of strategic leaders drive particular organizational designs as a rich avenue for future inquiry.

Beyond the CEO and TMT

Strategic decisions about organizational design are not made by CEOs or the TMT alone. Instead, the board of directors often plays a critical role in approving and shaping major strategic decisions. Interestingly, we found no study focusing on the board of directors as the focal strategic leadership actor (see Table 3). Only a single study in our sample (Marquis and Lee 2013) considers the board of directors at all, and does so only as one of several types of strategic leaders. Given boards' central governance responsibility (Baysinger and Hoskisson 1990; Johnson et al. 1993), this clearly represents important opportunities for research.

A first avenue would be to examine how board characteristics, including composition, expertise, functional backgrounds, and diversity, influence design choices. For example, future research could build on the work of Mack et al. (2025), who identify board diversity as a key antecedent of TMT and broader organizational diversity, to examine whether diverse boards also promote different organizational designs, such as flatter hierarchies, greater decentralization, or more flexible structures.

A second avenue could be to examine organizational design as the product of interactions between boards and executives rather than as individual decisions of either group in isolation. In fact, recent research suggests that interactions between boards and executives can be important drivers of organizational outcomes (Thys et al. 2024). In our context, this raises the question of how boards and executives jointly shape organizational design. Scholars could, for instance, take a role-theoretic approach (Georgakakis et al. 2022; Simsek et al. 2018) and examine whether boards primarily support executives by providing expertise and strategic guidance on organizational design, or instead exert more directive influence by reallocating decision authority and potentially constraining executive discretion. These different interaction patterns are likely to have distinct implications for organizational design. For example, boards that exercise decision authority may reinforce centralized structures and additional hierarchical oversight, whereas boards that promote executive autonomy may facilitate greater decentralization and empower lower organizational levels.

Relatedly, future research could investigate how different forms of board–executive interdependence (Luciano et al. 2020) influence organizational design. Sequential dependencies, in which decision-making authority flows primarily from the board to executives, may encourage more centralized designs. In contrast, reciprocal dependencies characterized by continuous information exchange and mutual adjustment (Thompson 1967) may enable more decentralized designs.

These notions give rise to several additional interesting questions. For instance, how do power and role dynamics between directors and the TMT shape the emergence or elimination of hierarchical layers? Similarly, how do shifts in board–executive relationships trigger structural reconfigurations such as the creation of new roles or the redistribution of decision authority? Addressing these questions would extend the literature beyond individual strategic leaders, and provide a more comprehensive understanding of how governance actors jointly shape organizational design.

Unconventional and novel organizational designs

Prior studies largely focus on traditional structural dimensions such as hierarchy or centralization, offering valuable insights into the mechanisms of authority and decision-rights distribution. Yet, firms are experimenting with innovative organizational forms that move beyond these classic templates. Examples include holacracy, network- and team-based structures, post-bureaucratic networks, and other self-managing models (Jerab and Mabrouk 2023). While these unconventional designs are gaining traction in practice, they remain strikingly underexplored in academic research.

There is thus a clear need for more strategic-leadership-focused research on the antecedents, mechanisms, and outcomes of such unconventional and novel forms. One promising avenue lies in examining which types of strategic leaders, based on their backgrounds, experiences, or other characteristics, are more inclined to experiment with these organizational alternatives. For instance, strategic leaders high in openness to experience or those with entrepreneurial backgrounds may favor fluid, decentralized arrangements such as team-based structures (Callanan 2004) or holacracy (Robertson 2015) that promote autonomy and cross-functional collaboration. In contrast, highly conscientious or risk-averse strategic leaders might prefer to preserve formal hierarchies that ensure predictability and control. Similarly, strategic leaders with backgrounds in creative or innovation-intensive sectors may be more predisposed toward adopting post-bureaucratic or networked designs (Hodgson 2004), whereas those socialized in traditional industries might adhere to functional or divisional templates. Understanding strategic leaders' preferences and openness to alternative organizational designs would shed light on why some firms gravitate toward such designs while others remain anchored in functional or hierarchical setups (Burt 1980; Callanan 2004; Robertson 2015).

Beyond being antecedents of structural choices, strategic leaders can also exert moderating effects on the relationship between organizational design and performance. Strategic leaders' traits and values may condition how effectively different organizational designs function once they are implemented. For example, decentralized or self-managing structures might work well under strategic leaders who demonstrate trust, empowerment orientation, and high emotional intelligence but fail under strategic leaders with controlling or narcissistic tendencies. Likewise, in networked organizations, strategic leaders' relational skills and integrative leadership style could determine whether the intended agility and coordination benefits materialize. Examining strategic leader characteristics as moderators would thus illuminate why identical structures may yield divergent outcomes across organizations.

Finally, researchers could also conceptualize a firm's strategic leadership as the outcome of unconventional and emerging organizational designs. Unconventional forms such as holacracy or post-bureaucratic networks fundamentally alter decision processes, communication patterns, and accountability systems (Hodgson 2004; Josserand et al. 2006), potentially reshaping the very nature of strategic leadership. For example, designs with much flatter hierarchies may diffuse power and reduce the centrality of the CEO, fostering more collective leadership. Alternatively, strategic leaders operating in such contexts might develop new cognitive or behavioral repertoires to navigate ambiguity and shared authority. Investigating how organizational design molds strategic leaders' roles and behaviors would complement existing perspectives by probing the reciprocal relationship between strategic leadership and organizational design further.

Overall, future research should explore the interplay between strategic leader characteristics, unconventional and novel forms of organizational design, as well as their joint effectiveness. Such work could reveal not only which strategic leaders are successful in enacting which designs but also how strategic leadership shapes—and is shaped by—the adoption and functioning of unconventional or novel organizational designs.

Technology and new models of organizing

The ongoing digital transformation of organizations raises important questions about how technology interacts with organizational design and strategic leaders, yet our review finds no research directly addressing this topic. This gap is notable as the integration of artificial intelligence (AI) into management processes may fundamentally alter decision structures and collaboration, and thus organizational design. Recent frameworks outline how AI can assume certain decision-making roles (Raisch and Fomina 2025), enabling structures such as full AI-based decision delegation, hybrid sequential processes, or aggregated human–AI decision-making in organizations (Shrestha et al. 2019). We believe it would be highly beneficial to understand how strategic leaders decide to adopt these algorithmic or data-driven structures, which can have profound implications for traditional organizational designs. For instance, what types of CEOs are more likely to adopt organizational designs that delegate authority to AI systems, rather than maintaining conventional, manager-driven decision structures?

Additionally, advances in technological infrastructure enable some additional and new breeds of organizations, for example decentralized autonomous organizations (DAOs), which operate via blockchain-based smart contracts with no centralized authority (Wang et al. 2019) or digital-first organizations, which are designed around digital technologies as the primary means of coordination and value creation (Kontić and Vidicki 2018). These represent a radical departure from traditional hierarchy, and it remains unclear which strategic leaders or governance mechanisms can effectively implement and/or operate such forms. Furthermore, changes in the future of work (e.g., the rise of remote and hybrid work, virtual teams, and gig platforms) create new design challenges (Best 2021).

Strategic leaders both shape and respond to such developments, but their role in these developments is only beginning to attract scholarly attention. Yet, these developments promise to profoundly transform the role of strategic leadership in the future (Harms and Han 2019; McGuire and De Cremer 2023). Together, these developments challenge established organizational design principles and require strategic leaders to rethink how coordination, control, and accountability are structured in increasingly digital environments. In sum, researchers should explore how digital technologies (e.g., AI, remote collaboration tools, blockchain) and related new organizational models (e.g., DAOs, digital-first structures) influence and are influenced by strategic leaders.

Translation of preferences into organizational structures

Another important yet underexplored area of research concerns the potential gap between strategic leaders' preferences for organizational design and the structures that are ultimately implemented. While prior studies link strategic leaders' traits and experiences to organizational outcomes, few disentangle strategic leaders' structural preferences from the processes and constraints that shape their translation into implemented designs. Accordingly, this gap presents a fertile opportunity to explore how much agency CEOs and TMTs truly have in shaping organizational design and how they exercise, expand, and sustain this agency in enacting organizational change and organizational imprinting (Marquis and Tilcsik 2013). In this regard, future research could benefit from explicitly examining the mechanisms through which strategic leaders' characteristics translate into organizational design outcomes. For example, scholars might investigate how mechanisms such as cognitive framing, capability constraints, or value-based motivations shape how strategic leaders interpret structural problems, mobilize support for redesign, and overcome organizational inertia. Strategic leaders often hold distinct preferences for decentralization, hierarchy, formalization, or team-based configurations shaped by their personality traits, professional backgrounds, leadership identities, or past organizational exposure. For instance, strategic leaders tend to exhibit a preference for designs they managed in the past (Karim and Williams 2012), yet the translation of these preferences into realized structures might be significantly moderated by organizational inertia, board resistance, stakeholder expectations, or institutional norms (Crossland and Hambrick 2007). Therefore, we stress the process through which strategic leaders translate their preferences into structural realities. Building on the process theory perspective (Langley 1999), future research could conceptualize organizational design change as a dynamic and iterative process rather than a discrete event. Such a process view allows scholars to examine how strategic leaders mobilize resources, frame change narratives, and build coalitions to overcome resistance, as well as how they learn from feedback and recalibrate their strategies.

We therefore see considerable value in understanding the alignment, or misalignment, between strategic leaders' structural preferences and the organizational designs ultimately implemented. Research could pursue an array of questions and ideas. For example, strategic leaders' preferences for decentralized structures may be more likely to be implemented in younger or smaller firms where structural inertia and legacy systems are lower, allowing for greater experimentation. In contrast, larger and more mature organizations may constrain strategic leaders' ability to enact change, regardless of their individual preferences. Similarly, the congruence between a CEO's design preferences and actual structures might be higher when the CEO possesses greater structural power, for example through duality, long tenure, or founder status, which provide greater latitude to drive organizational change (Finkelstein 1992). Moreover, CEOs with high openness to experience and entrepreneurial backgrounds might be more likely to prefer self-managing or networked structures. Yet, in mature, publicly traded firms, these preferences may often go unrealized due to governance mechanisms, investor expectations, or regulatory requirements (Gordon et al. 2021; Quigley et al. 2022).

Understanding these contingencies can help clarify how strategic leaders imprint their structural vision onto the organization (Perkmann and Spicer 2014) and how their preferences are suppressed or redirected by contextual forces. Future research could trace the evolution of these dynamics, identifying how strategic leaders' preferences are—or are not—implemented.

Timing and triggers of changes in organizational design

Surprisingly little is also known about when and why strategic leaders choose to reconfigure organizational structure. While some scholars find evidence for structural reconfiguration based on environmental characteristics (Karim et al. 2016), we propose to focus research on both the timing of organizational change as well as the specific triggers of such change.

From a temporal perspective, strategic leaders may implement major design changes at different points in their tenure. Scholars can build on Hambrick and Fukutomi's (1991) framework of the five "seasons" of a CEO's tenure, which traces how a CEO's focus and behavior evolve across distinct phases in office, to examine how these phases shape the likelihood, nature, and magnitude of structural change. For instance, do newly appointed CEOs pursue major changes early in their tenure to imprint their vision, or later, once they have gained confidence or even when performance declines? Alternatively, are CEOs with certain characteristics and personality traits more likely to initiate change right after appointment as a signaling mechanism or only in response to internal or external factors?

Furthermore, timing should not only be considered within the strategic leader's tenure but also in relation to the organization's and industry's broader life cycles. Strategic leaders' ability and willingness to reconfigure structures and designs may vary across these macro-temporal contexts. In the early stages of a firm's life cycle, design change may be motivated by strategic leaders' experimentation, growth, and opportunity seeking, while in maturity or decline, structural inertia and institutional norms may restrict strategic leaders' inclination for change. Similarly, industries in dynamic environments may reward strategic leaders who implement adaptive redesigns, whereas in more stable, mature industries, such changes may be perceived as risky or less necessary. Future research could thus uncover whether certain configurations—such as early-tenure CEOs in young firms or late-tenure CEOs in declining industries—are especially supportive of structural change. This line of inquiry would deepen our understanding of temporal aspects of decision-making in organizational design, situating leadership agency within the dynamics of time and organizational change.

Closely connected to when strategic leaders make such decisions is the question of why they engage in redesign, distinguishing changes driven by strategic leaders' internal motives from those triggered by external pressures (Wowak et al. 2017). On the one hand, a CEO may restructure due to intrinsic factors such as a desire to improve efficiency, to implement their personal philosophy, or simply hubris and legacy-building. On the other hand, many design changes are likely responses to external demands or shocks. For example, a sudden crisis or poor performance might compel a CEO to reorganize to signal a fresh start (Klein et al. 2025). Similarly, shareholder activism can pressure strategic leaders into altering governance and structure (Goranova and Ryan 2014). In addition, media coverage and public discourse may act as external forces, shaping how strategic leaders perceive legitimacy threats or opportunities (Graf-Vlachy et al. 2020b) and influencing subsequent redesign decisions. Alternatively, external calls for greater diversity and inclusion might drive structural initiatives (Ng and Sears 2020) by, for example, creating new diversity units or flattening hierarchies to empower employees.

Given these pressures, we expect that strategic leaders with different attributes, characteristics, and personality traits may either embrace or resist such pressures. We therefore encourage researchers to examine how specific triggers influence organizational design and whether strategic leaders' characteristics moderate their responses. For example, do more narcissistic or powerful CEOs respond to activist demands with bolder structural overhauls, or do they resist more? In addition, prior work on symbolic management suggests that strategic leaders sometimes take symbolic actions to satisfy stakeholders without real change (Schnackenberg et al. 2019). Correspondingly, future work could ask whether a crisis leads some CEOs to make only superficial, symbolic change, whereas others undertake substantive reorganizations to truly address issues.

Longitudinal studies and strategic leader succession effects

As the questions of timing and triggers are inherently dynamic, they also raise the question of whether future research should more generally exploit longitudinal studies capable of uncovering how strategic leaders' structural and design choices develop and transform across time. Most existing research examines a single time period or relatively short spans, leaving questions about the temporal dynamics of strategic leaders' design decisions. For instance, do companies that undergo repeated CEO turnover experience oscillating restructurings, or do they tend to converge on a stable form? Concepts of structural inertia suggest that organizations develop stability in their arrangements over time

(Hannan and Freeman 1984), yet new CEOs or those with different characteristics could attempt to break this inertia (Berns and Klarner 2017).

Longitudinal research could track whether a CEO's structural changes persist long after they have departed, or whether structures gradually revert or change again under different strategic leaders. Prior evidence from Miller (1993) shows that CEO succession events tend to trigger a diffusion of authority and broader change in organizational structure and process, but whether such shifts compound, stabilize, or reverse across multiple successive transitions remains largely untested. Future studies might leverage multi-decade firm data, correlating changes in top leadership with reorganization announcements, divisional mergers or splits, changes in spans of control, or other measures over time. They could also consider external context shifts (e.g., technology changes or the industry life cycle as described above) to see how design adaptability or rigidity plays out in the long run.

Building on Virany et al.'s (1992) work linking executive succession to organizational learning and adaptation under environmental turbulence, future research could examine whether repeated strategic leadership transitions accelerate organizational design changes in volatile environments or instead reinforce existing designs. By observing organizations and decisions made by strategic leaders across extended periods, we might learn about the viability and performance of various organizational designs, for example, whether certain structures yield long-term agility or instead create inertial traps. In sum, taking a longitudinal approach will enrich our understanding of how strategic leaders influence structure over time and whether and under which conditions any changes persist or are reversed.

New methods for measuring organizational design

Lastly, we see great advances with regard to measuring personality and characteristics of strategic leaders using a variety of novel measures (Graf-Vlachy et al. 2020b; Harrison et al. 2019; Ridge et al. 2024), but we acknowledge the persistent challenge of quantifying organizational design, leading to limited available data and consequently sparse empirical work. Traditional measures like centralization indices, complexity, or hierarchy are often one-dimensional, limited in availability, or inconsistently defined (Loughran and McDonald 2024) and thus hold back research. We therefore see a need for innovative, outside-in metrics of organizational design. Some scholars have begun to use creative proxies, for example, coding changes in executive job titles to detect structural reconfigurations in which shifts in the top management roles signal restructuring (Girod and Whittington 2015) or leveraging firms' segment and business unit reporting to infer how activities are grouped (Barinov et al. 2024; Christensen 2016; Lee et al. 2015). Others exploit reporting documents (Loughran and McDonald 2024) or accounting disclosures (Hoitash and Hoitash 2022). Moreover, advances in computational text analysis and artificial intelligence offer promising tools. We specifically applaud recent attempts at the application of AI models to assess organizational design elements, in which machine learning models on annual reports and 10-K filings construct organizational design data (Albert et al. 2026). Such and similar approaches leveraging machine learning (e.g., parsing organizational charts from disclosures, analyzing reporting relationships mentioned in filings) may produce richer proxies for hierarchy, decentralization, or other variables. We therefore encourage further methodological advancements, including the use of AI models applied to large-scale data sources (e.g., based on press releases or earnings calls) to identify organizational design elements and help to overcome existing data limitations.

Limitations

Naturally, there are inherent constraints to any systematic literature review. Despite our efforts to include all relevant publications from leading journals and to use the most appropriate keywords, there remains a possibility that some literature may have been excluded due to our journal and keyword selection, as work on strategic leadership and organizational design might unexpectedly exist in other outlets or use alternative keywords.

Further, in line with the prevailing practice in strategic leadership research (Finkelstein et al. 2009), we deliberately focused on large as well as established firms and excluded very young companies or start-ups from this review. Accordingly, this review cannot provide comprehensive coverage of venture creation or entrepreneurial contexts, where founding strategic leaders may possess greater latitude to imprint organizational design choices.

Lastly, the review is limited by our chosen definition of organizational design. We are aware that organizational design can be interpreted more broadly and extended to working modes or intercompany structures including joint ventures or M&A activities. Future reviews might wish to review these aspects and their relationships with strategic leadership.

Discussion and conclusion

In this review, we aimed to survey the research on the relationship between strategic leadership and organizational design. Drawing on research from different disciplines and considering an array of theoretical perspectives, we find that strategic leaders' characteristics, such as experience, background, and values, shape their organizational design choices. These choices often manifest, for example, in tendencies toward steeper or flatter hierarchies, the delegation of decision-making authority, TMT composition, cooperation within the organization and/or TMT, or organizational decentralization, among others. In addition to these direct influences, we identify how firm- and environmental-level characteristics condition the extent to which strategic leaders' preferences are reflected in organizational design. Importantly, our review also highlights a reverse relationship, showing that organizational design influences strategic leaders and their behavior, and determines which strategic leaders are attracted to, selected by, and retained in the organization.

Building on these findings, our review offers important practical implications. Strategic leaders should recognize that their educational backgrounds, functional experiences, and personal characteristics shape their organizational design preferences. Developing awareness of these predispositions can help them distinguish design choices that genuinely fit the organization's actual needs from those that merely reflect their own idiosyncratic experiences and preferences. As organizational design decisions have substantial consequences, critically reflecting on potential biases in the organization design decision process is of utmost importance in practice.

At the same time, the implementation of strategic leaders' ideas about organizational design is contingent on the broader organizational context. Strategic leaders' discretion and ability to implement their preferred designs are constrained by factors such as shareholder resistance, organizational inertia, and existing structural arrangements. Another important contextual factor is the life cycle phase in which their organization finds itself. During earlier stages, when routines and formalized systems are less entrenched, strategic leaders typically possess greater discretion to implement their preferred designs. As organizations mature, accumulated interdependencies and established structures raise the costs of reconfiguration and constrain large-scale redesign. Consequently, organization design should be viewed not only as a question of strategic leaders' preferences but also of implementation feasibility and timing.

Finally, strategic leaders should be cognizant of the fact that organizational design decisions may have long-term consequences. Designs introduced by strategic leaders often persist beyond their tenure, shaping future governance and structure. Strategic leaders should therefore consider not only the short-term effectiveness of structural changes but also their long-term influence on the organization's adaptability past their tenure. As such, organizational design should be approached as a long-term decision rather than merely a response to immediate challenges.

In addition to these practical implications, our review advances our theoretical understanding of the strategic leadership–organizational design relationship. By adopting a strategic leader-centered perspective, we integrate insights that have previously been dispersed across the literature on strategic management, organizational design, and other domains. In doing so, we add to upper echelons theory by treating organizational design as a distinct and consequential domain of strategic leaders' influence. This integration provides a systematic perspective that clarifies how strategic leaders, firm characteristics, and environmental characteristics jointly shape organizational design choices and how organizational design, in turn, shapes strategic leaders. In doing so, the review reduces conceptual ambiguity, identifies common explanatory mechanisms across domains, and highlights key contingencies. The mechanisms synthesized in our framework also connect to broader theoretical traditions. In particular, mechanisms such as cognitive framing, task overload, and capacity constraints resonate with notions of bounded rationality from the behavioral theory of the firm (Cyert and March 1963), while the role of structure in filtering information and shaping strategic leaders' perceptions aligns with the attention-based view of the firm (Ocasio 1997). At the same time, our findings highlight an aspect relevant to contingency theory by identifying strategic leaders and their characteristics as mechanisms that shape how environmental conditions are interpreted and translated into organizational design choices.

We further contribute by providing direction and a detailed agenda for future research. In this vein, we emphasize the importance of examining a broader array of strategic leaders' traits and values, as well as the role of other strategic leaders such as boards of directors. Future research should also move beyond traditional organizational designs to consider unconventional and innovative designs like holacracy or self-organization. Moreover, the rapid digital transformation of organizations is likely to significantly reshape strategic decision-making and alter strategic leaders' roles, with research being currently in its infancy. Another promising avenue concerns the timing and triggers behind structural changes, whether driven by strategic leaders' intrinsic motivations or external pressures. To capture these dynamics, we highlight the need for longitudinal studies tracking the evolution of organizational design and strategic leaders' characteristics over time, that can offer valuable insights into the viability and adaptability of organizational designs. Closely related, future work should disentangle the dynamics of strategic leaders' preferences with actual structural implementation while accounting for contextual constraints. Finally, methodological advancements, such as leveraging AI-based tools and new metrics, may be crucial to overcoming existing limitations in measuring organizational design and enable deeper inquiry into all research areas outlined in our agenda.

In conclusion, we are hopeful that our review contributes by integrating prior research, clarifying the current boundaries of scholarly understanding, and offering a detailed agenda for future exploration. We aim for this review to serve as both a reference point and a catalyst for further studies to advance our understanding in this important field of research.

Author Contribution Clemens M. Brandstätter and Lorenz Graf-Vlachy jointly conceptualized the study, developed the methodology, conducted the investigation, and performed the formal analysis. Clemens M. Brandstätter curated the data, prepared the visualizations, and wrote the first draft of the manuscript. Both authors contributed to reviewing and editing the manuscript. Lorenz Graf-Vlachy supervised the project. Both authors read and approved the final manuscript.

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